2020 Tax Return(s)

Prepared for

LILY CORPORATION
CLIENT CODE: 0104469.0

Account Number 712393
Release Number 2020.03031

Prepared by

DIGIOVINE HNILO JORDAN & JOHNSON
184 SHUMAN BLVD. STE. 200
NAPERVILLE, IL
60563

630-420-1360

Processing

Date: 04/17/2021
Time: 10:09:40

Special Instructions

Messages

Return Information

CAUTION

. Depreciation. One or more prior year book assets have no accumulated depreciation entered. Please verify the accumulated depreciation is correct. (21183)

Signed-off by DSTOLARSKI 3/8/2021 3:12 PM CST

. State PPP. Federal provisions exclude Paycheck Protection Program (PPP) loans from income and allow a deduction for certain expenses paid with those proceeds. Certain states have not conformed or may have partially conformed or delayed conformity to the federal rules. Program changes to address these payments and differences in treatment will be available on a future release. At this time, the program does not automatically adjust income or deductions for affected states. Currently, the preparer should determine the nature of the adjustment and how it should be reflected on the tax return. Federal and state level input/overrides are available to adjust any affected lines on the tax return. (28926)

Signed-off by DSTOLARSKI 3/8/2021 3:12 PM CST

INFORMATIONAL

. Federal and State Electronic Filing. Preparer's email explanation notification been selected and will be sent to the following email address: dstolarski@dhjj.com (30073)

Signed-off by DSTOLARSKI 3/8/2021 3:13 PM CST

. Electronic Filing Form 7004. When electronically filing extensions after the return due date, the X to unlock Form 7004 box must be checked in order to make changes to Form 7004. Check the box on Other/Extensions worksheet, Federal Extension, Unlock Form 7004. (33245)

Signed-off by JHENNESSY 4/17/2021 10:59 AM CDT

. Federal and State Electronic Filing. Client's email notification has been selected and will be sent to the corporation's email address entered on the General worksheet; Other Questions section. (37608)

Signed-off by DSTOLARSKI 3/8/2021 3:14 PM CST

. Federal and State Electronic Filing. Preparer's email notification been selected and will be sent to the following email address: efile@dhjj.com. (37609)

Signed-off by DSTOLARSKI 3/8/2021 3:14 PM CST

Return Information

- Electronic Filing. This return has been selected for electronic filing. If a printed copy of the return is generated and electronic processing of the return is completed, do not mail the printed copy of the return to the IRS. Form 8879-S must be retained by the electronic return originator for three years. (39494)

  Signed-off by DSTOLARSKI 3/8/2021 3:14 PM CST

- Illinois. Some or all of the current year overpayment of replacement tax has been applied to next year's replacement tax. S corporations are not required to make estimated tax payments. Form IL-1120-ES has not been prepared. (34018)

  Signed-off by JHENNESSY 4/17/2021 10:59 AM CDT

- Illinois. Form IL-1120-ST-V EXT has been prepared but is not available for electronic filing with the state. Form IL-1120-ST-V EXT has been included in the printed government copy; please separately mail this form to:

  Illinois Department of Revenue
  PO Box 19053
  Springfield, IL 62794-9053 (37567)

  Signed-off by DSTOLARSKI 3/8/2021 3:14 PM CST

- Illinois Electronic Filing. Illinois requires the User to accept an Authorization Statement in the electronic return. By making a statement of acceptance on the General Worksheet, Basic Data section" the User agrees that they have examined the return, and to the best of their knowledge it is true, correct, and complete. If direct debit information is included in this return for Illinois, the specified authorized officer is authorizing IDOR and related financial institutions to transact any debit payment information included in the transmission. In addition, the authorized officer also consents to allowing department personnel to discuss any problems transacting the debit with the ERO, transmitter, or financial institution. (38038)

  Signed-off by DSTOLARSKI 3/8/2021 3:14 PM CST

Extension Information Report

NAME: LILY CORPORATION

ID Number: 36-3188312

Unit	Extension form name	Balance due shown on extension	Tax deposited with extension on the return	Due Date	Unlocked
FED	FORM 7004		0.	03/15/21	
IL	IL-1120-ST-V	6,100.	6,100.	03/15/21	

ELECTRONIC FILING STATUS REPORT

TAXING AUTHORITY	*RETURN STATUS*	*ELECTRONIC FILING STATUS*	*DATE EXPORTED*
FEDERAL	QUALIFIED	READY TO RELEASE BY CUSTOMER	04/17/2021
FEDERAL 7004	PREV EXPORTED		03/08/2021
ILLINOIS	QUALIFIED	READY TO RELEASE BY CUSTOMER	04/17/2021

2020 DEPRECIATION AND AMORTIZATION REPORT

OTHER DEPRECIATION

OTHER

Asset No.	Description	Date Acquired	Method	Life	Conv	Line No.	Unadjusted Cost Or Basis	Bus % Excl	Section 179 Expense	* Reduction In Basis	Basis For Depreciation	Beginning Accumulated Depreciation	Current Sec 179 Expense	Current Year Deduction	Ending Accumulated Depreciation
3	IMPROVEMENTS LEASEHOLD IMPROVEMENTS	04/01/85	SL	15.00		16	119,509.				119,509.	119,509.		0.	119,509.
4	IMPROVEMENTS LEASEHOLD IMPROVEMENTS	06/01/89	SL	40.00		16	123,299.				123,299.	68,522.		3,082.	71,604.
5	OFFICE EQUIPMENT OFFICE EQUIPMENT	04/26/84	PRE	5.00		16	72,899.				72,899.	72,899.		0.	72,899.
6	OFFICE EQUIPMEMT OFFICE EQUIPMENT	06/15/03	200DB	5.00	HY	17	5,645.				5,645.	5,645.		0.	5,645.
7	OFFICE EQUIPMENT OFFICE EQUIPMENT	06/15/04	200DB	5.00	HY	17	1,097.				1,097.	1,097.		0.	1,097.
8	OFFICE EQUIPMENT OFFICE EQUIPMENT	06/15/05	200DB	5.00	HY	17	1,360.				1,360.	1,360.		0.	1,360.
9	OFFICE EQUIPMENT OFFICE EQUIPMENT	06/15/06	200DB	5.00	HY	17	586.				586.	586.		0.	586.
10	OFFICE EQUIPMENT OFFICE EQUIPMENT	06/15/08	200DB	5.00	HY	17	766.		766.					0.	
11	OFFICE EQUIPMENT OFFICE EQUIPMENT	04/26/84	PRE	5.00		16	5,225.			2,613.	2,612.	2,612.		0.	2,612.
12	EQUIPMENT MACHINERY AND EQUIPMENT	04/26/84	PRE	5.00		16	104,633.				104,633.	104,633.		0.	104,633.
13	EQUIPMENT MACHINERY AND EQUIPMENT	06/15/03	200DB	5.00	HY	17	278.				278.	278.		0.	278.
14	EQUIPMENT MACHINERY AND EQUIPMENT	06/15/04	200DB	5.00	HY	17	8,129.				8,129.	8,129.		0.	8,129.
15	EQUIPMENT MACHINERY AND EQUIPMENT	06/15/05	200DB	5.00	HY	17	6,384.				6,384.	6,384.		0.	6,384.
16	EQUIPMENT MACHINERY AND EQUIPMENT	06/15/06	200DB	5.00	HY	17	500.				500.	500.		0.	500.
17	EQUIPMENT MACHINERY AND EQUIPMENT	06/15/07	200DB	5.00	HY	17	2,151.				2,151.	2,151.		0.	2,151.
18	MOLDS & DIES MOLDS AND DIES	04/26/84	PRE	5.00		16	251,131.				251,131.	251,131.		0.	251,131.
19	PATENT EXPENSE PATENTS	01/01/09	197	180M		43	15,549.				15,549.	11,407.		1,037.	12,444.
20	A-118-2 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	864.			864.				0.	

(D) - Asset disposed

* ITC, Salvage, Bonus, Commercial Revitalization Deduction, GO Zone

2020 DEPRECIATION AND AMORTIZATION REPORT

OTHER DEPRECIATION — OTHER

Asset No.	Description	Date Acquired	Method	Life	Conv	Line No.	Unadjusted Cost Or Basis	Bus % Excl	Section 179 Expense	* Reduction In Basis	Basis For Depreciation	Beginning Accumulated Depreciation	Current Sec 179 Expense	Current Year Deduction	Ending Accumulated Depreciation
21	CD135 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	17,411.			17,411.				0.	
22	CD15 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	7,616.			7,616.				0.	
23	CD250 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	72,750.			72,750.				0.	
24	CD75 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	23,198.			23,198.				0.	
25	HT15 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	639.			639.				0.	
26	TTA RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	554.			554.				0.	
27	TTA-5 RENTAL RENTAL EQUIPMENT	01/01/11	200DB	5.00	HY	17	3,257.			3,257.				0.	
28	OFFICE EQUIPMENT OFFICE EQUIPMENT	11/02/11	200DB	5.00	HY	17	3,002.			3,002.				0.	
29	DRAFTING COMPUTER OFFICE EQUIPMENT	01/21/13	200DB	5.00	HY	17	1,005.		1,005.					0.	
30	2 NOTEBOOKS OFFICE EQUIPMENT	08/19/13	200DB	5.00	HY	17	1,450.		1,450.					0.	
31	NEW ROOF LEASEHOLD IMPROVEMENTS	11/30/13	SL	39.00	MM	17	98,200.				98,200.	15,423.		2,518.	17,941.
33	INJECTION MOLDING PRESS MOLDS AND DIES	06/30/15	200DB	5.00	HY	17	35,854.		35,854.					0.	
34	2015 RENTALS RENTAL EQUIPMENT	06/30/15	200DB	5.00	HY	17	29,774.		29,774.					0.	
35	OFFICE EQUIPMENT OFFICE EQUIPMENT	06/30/15	200DB	5.00	HY	17	5,186.		5,186.					0.	
37	ELECTRICAL WORK LEASEHOLD IMPROVEMENTS	12/20/19	SL	39.00	MM	17	11,500.				11,500.	12.		295.	307.
	* OTHER TOTAL OTHER						1,031,401.		74,035.	131,904.	825,462.	672,278.		6,932.	679,210.
	BUILDINGS														
2	BUILDING	04/26/84	SL	18.00		16	110,000.				110,000.	110,000.		0.	110,000.

(D) - Asset disposed

* ITC, Salvage, Bonus, Commercial Revitalization Deduction, GO Zone

2020 DEPRECIATION AND AMORTIZATION REPORT

OTHER DEPRECIATION

OTHER

Asset No.	Description	Date Acquired	Method	Life	Conv	Line No.	Unadjusted Cost Or Basis	Bus % Excl	Section 179 Expense	* Reduction In Basis	Basis For Depreciation	Beginning Accumulated Depreciation	Current Sec 179 Expense	Current Year Deduction	Ending Accumulated Depreciation
	* OTHER TOTAL BUILDINGS						110,000.				110,000.	110,000.		0.	110,000.
	TRANSPORTATION EQUIPMENT														
32	2014 HONDA RIDGELINE	07/21/14	200DB	5.00	HY	21	37,973.		25,000.	6,487.	6,486.	6,486.		0.	6,486.
36	2016 FORD CARGO VAN	11/23/16	SL	5.00	MQ	21	30,325.		25,000.	2,663.	2,662.	2,209.		453.	2,662.
	* OTHER TOTAL TRANSPORTATION EQUIP						68,298.		50,000.	9,150.	9,148.	8,695.		453.	9,148.
	LAND														
1	LAND	04/26/84	L				12,800.				12,800.			0.	
	* OTHER TOTAL LAND						12,800.				12,800.	0.		0.	0.
	* GRAND TOTAL OTHER DEPR & AMORT						1,222,499.		124,035.	141,054.	957,410.	790,973.		7,385.	798,358.

(D) - Asset disposed

* ITC, Salvage, Bonus, Commercial Revitalization Deduction, GO Zone

April 17, 2021

Lily Corporation
240 S. Broadway
Aurora, IL 60505

Lily Corporation:

We have prepared and enclosed your 2020 S Corporation income tax returns for the year ended December 31, 2020.

The federal return has qualified for electronic filing. After you have reviewed the return for completeness and accuracy, please sign, date and return Form 8879-S to our office by September 15, 2021. We will transmit your return electronically to the IRS, and no further action is required.

No payment is required for the federal return.

The Illinois Form IL-1120-ST return has qualified for electronic filing. After you have reviewed your return for completeness and accuracy, please sign, date and return Form 8879-SO to our office by October 15, 2021. We will then transmit your return electronically to the IDOR.

No payment is required.

Your overpayment in the amount of $231 has been applied to your Illinois estimated tax.

Attached are Schedules K-1 for each shareholder indicating their share of income, deductions and credits to be reported on their respective tax returns. These schedules should be promptly forwarded to each of the shareholders.

Copies of the returns are enclosed for your files.

We appreciate the opportunity to serve you. Please contact us if you have any questions.

Sincerely,

Dione Stolarski

S CORPORATION

Two-Year Comparison

2020

Name: LILY CORPORATION

Employer Identification Number: 36-3188312

Description	Prior Year	Current Year	Increase (Decrease)
ORDINARY BUSINESS INCOME (LOSS):			
INCOME:			
GROSS RECEIPTS OR SALES LESS RETURNS AND ALLOWANCES	2,198,899.	1,979,389.	-219,510.
COST OF GOODS SOLD	1,145,475.	990,405.	-155,070.
GROSS PROFITS	1,053,424.	988,984.	-64,440.
TOTAL INCOME	1,053,424.	988,984.	-64,440.
DEDUCTIONS:			
COMPENSATION OF OFFICERS	216,258.	220,493.	4,235.
SALARIES AND WAGES LESS EMPLOYMENT CREDITS	66,462.	172,728.	106,266.
REPAIRS AND MAINTENANCE	10,992.	68.	-10,924.
BAD DEBTS	0.	77.	77.
TAXES AND LICENSES	65,700.	63,688.	-2,012.
INTEREST	576.	0.	-576.
DEPRECIATION	6,518.	6,348.	-170.
ADVERTISING	1,196.	855.	-341.
PENSION, PROFIT-SHARING, ETC., PLANS	14,468.	5,847.	-8,621.
EMPLOYEE BENEFIT PROGRAMS	65,655.	81,801.	16,146.
OTHER DEDUCTIONS	116,168.	94,610.	-21,558.
TOTAL DEDUCTIONS	563,993.	646,515.	82,522.
ORDINARY BUSINESS INCOME (LOSS)	489,431.	342,469.	-146,962.
S CORPORATION TAXES:			
PAYMENTS AND CREDITS:			
BALANCE DUE OR REFUND:			
SCHEDULE K:			
INCOME:			
ORDINARY BUSINESS INCOME (LOSS)	489,431.	342,469.	-146,962.
DEDUCTIONS:			
INVESTMENT INTEREST:			
CREDITS:			

S CORPORATION

Two-Year Comparison

2020

Name: LILY CORPORATION

Employer Identification Number: 36-3188312

Description	Prior Year	Current Year	Increase (Decrease)
FOREIGN TAXES:			
AMT ITEMS:			
OTHER SCHEDULE K ITEMS:			
NONDEDUCTIBLE EXPENSES	922.	476.	-446.
PROPERTY DISTRIBUTIONS	219,994.	245,425.	25,431.
INCOME (LOSS)	489,431.	342,469.	-146,962.
SCHEDULE M-1:			
NET INCOME (LOSS) PER BOOKS	488,509.	341,993.	-146,516.
TRAVEL & ENTERTAINMENT RECORDED ON BOOKS NOT INCLUDED ON SCHEDULE K	922.	476.	-446.
TOTAL EXPENSES RECORDED ON BOOKS NOT INCLUDED ON SCHEDULE K	922.	476.	-446.
TOTAL OF LINES 1 THROUGH 3	489,431.	342,469.	-146,962.
INCOME (LOSS)	489,431.	342,469.	-146,962.
SCHEDULE M-2:			
ACCUMULATED ADJUSTMENTS ACCOUNT:			
BALANCE AT BEGINNING OF TAX YEAR	690,677.	959,222.	268,545.
ORDINARY INCOME	489,431.	342,469.	-146,962.
OTHER REDUCTIONS	922.	476.	-446.
COMBINE LINES 1 THROUGH 5	1,179,186.	1,301,215.	122,029.
DISTRIBUTIONS	219,994.	245,425.	25,431.
BALANCE AT END OF TAX YEAR	959,192.	1,055,790.	96,598.

2020 TAX RETURN FILING INSTRUCTIONS

U.S. INCOME TAX RETURN FOR AN S CORPORATION

FOR THE YEAR ENDING
December 31, 2020

Prepared For:

Lily Corporation
240 S. Broadway
Aurora, IL 60505

Prepared By:

Digiovine Hnilo Jordan & Johnson
184 Shuman Blvd. Ste. 200
Naperville, IL 60563

To Be Signed and Dated By:

The appropriate corporate officer(s).

Amount of Tax:

Total tax	$ 0
Less: payments and credits	$ 0
Plus: interest and penalties	$ 0
No payment required	$

Overpayment:

Not applicable

Make Check Payable To:

Not applicable

Mail Tax Return and Check (if applicable) To:

This return has qualified for electronic filing. After you have reviewed the return for accuracy, please sign, date and return Form 8879-S to our office. We will transmit your return electronically to the IRS, and no further action is required.

Return Must be Mailed On or Before:

Return federal Form 8879-S to us by September 15, 2021.

Special Instructions:

Enclosed are copies of Schedule K-1 to be distributed to the shareholders.

Form **8879-S**

Department of the Treasury
Internal Revenue Service

IRS e-file Signature Authorization for Form 1120-S

▶ **ERO must obtain and retain completed Form 8879-S.**

▶ **Go to www.irs.gov/Form8879S for the latest information.**

For calendar year 2020, or tax year beginning , 2020, and ending , 20 .

OMB No. 1545-0123

2020

Name of corporation

LILY CORPORATION

Employer identification number

36-3188312

Part I Tax Return Information (Whole dollars only)

1	Gross receipts or sales less returns and allowances (Form 1120-S, line 1c)	1	1,979,389.
2	Gross profit (Form 1120-S, line 3)	2	988,984.
3	Ordinary business income (loss) (Form 1120-S, line 21)	3	342,469.
4	Net rental real estate income (loss) (Form 1120-S, Schedule K, line 2)	4	
5	Income (loss) reconciliation (Form 1120-S, Schedule K, line 18)	5	342,469.

Part II Declaration and Signature Authorization of Officer (Be sure to get a copy of the corporation's return)

Under penalties of perjury, I declare that I am an officer of the above corporation and that I have examined a copy of the corporation's 2020 electronic income tax return and accompanying schedules and statements and to the best of my knowledge and belief, it is true, correct, and complete. I further declare that the amounts in Part I above are the amounts shown on the copy of the corporation's electronic income tax return. I consent to allow my electronic return originator (ERO), transmitter, or intermediate service provider to send the corporation's return to the IRS and to receive from the IRS **(a)** an acknowledgement of receipt or reason for rejection of the transmission, **(b)** the reason for any delay in processing the return or refund, and **(c)** the date of any refund. If applicable, I authorize the U.S. Treasury and its designated Financial Agent to initiate an electronic funds withdrawal (direct debit) entry to the financial institution account indicated in the tax preparation software for payment of the corporation's federal taxes owed on this return, and the financial institution to debit the entry to this account. To revoke a payment, I must contact the U.S. Treasury Financial Agent at **1-888-353-4537** no later than 2 business days prior to the payment (settlement) date. I also authorize the financial institutions involved in the processing of the electronic payment of taxes to receive confidential information necessary to answer inquiries and resolve issues related to the payment. I have selected a personal identification number (PIN) as my signature for the corporation's electronic income tax return and, if applicable, the corporation's consent to electronic funds withdrawal.

Officer's PIN: check one box only

[X] I authorize DIGIOVINE HNILO JORDAN & JOHNSON to enter my PIN 88312

ERO firm name **Don't enter all zeros**

as my signature on the corporation's 2020 electronically filed income tax return.

As an officer of the corporation, I will enter my PIN as my signature on the corporation's 2020 electronically filed income tax return.

Officer's signature ▶ _____ Date ▶ _____ Title ▶ PRESIDENT

Part III Certification and Authentication

ERO's EFIN/PIN. Enter your six-digit EFIN followed by your five-digit self-selected PIN. 36063334663

Don't enter all zeros

I certify that the above numeric entry is my PIN, which is my signature on the 2020 electronically filed income tax return for the corporation indicated above. I confirm that I am submitting this return in accordance with the requirements of **Pub. 3112,** IRS *e-file* Application and Participation, and **Pub. 4163**, Modernized e-File (MeF) Information for Authorized IRS *e-file* Providers for Business Returns.

ERO's signature ▶ _____ Date ▶ 04/17/21

ERO Must Retain This Form - See Instructions
Don't Submit This Form to the IRS Unless Requested To Do So

8879-SO

State-Only e-file Signature Authorization

▶ Do not send to the Taxing Authority. This is not a tax return.

▶ Keep this form for your records.

2020

Taxpayer name: LILY CORPORATION

FEIN: 36 3188312

Part I Electronically Filed States

ILLINOIS

Part II Declaration and Signature Authorization (Be sure you get and keep a copy of your return)

Under penalties of perjury, I declare that I have examined a copy of my electronic income tax return and accompanying schedules and statements for tax year 2020, and to the best of my knowledge and belief, it is true, correct, and complete. I consent to allow my intermediate service provider, transmitter, or electronic return originator (ERO) to send my return to the taxing authority and to receive from the taxing authority **(a)** an acknowledgement of receipt or reason for rejection of the transmission, **(b)** the reason for any delay in processing the return or refund, and **(c)** the date of any refund. If applicable, I authorize the taxing authority and its designated Financial Agent to initiate an ACH electronic funds withdrawal (direct debit) entry to the financial institution account indicated in the tax preparation software for payment of my state taxes owed on this return and/or a payment of estimated tax, and the financial institution to debit the entry to this account. I further understand that this also authorizes the financial institutions involved in the processing of the electronic payment of taxes to receive confidential information necessary to answer inquiries and resolve issues related to the payment. I further acknowledge that the personal identification number (PIN) below is my signature for my electronic income tax return and, if applicable, my Electronic Funds Withdrawal Consent.

Taxpayer's PIN: check one box only

[X] I authorize DIGIOVINE HNILO JORDAN & JOHNSON to enter or generate my PIN 88312

ERO firm name

Enter five numbers, but do not enter all zeros

as my signature on my tax year 2020 electronically filed income tax return.

[ ] I will enter my PIN as my signature on my tax year 2020 electronically filed income tax return. Check this box **only** if you are entering your own PIN **and** your return is filed using the Practitioner PIN method. The ERO must complete Part III below.

Your signature ▶ _____ Date ▶ _____

Title ▶ PRESIDENT

Part III Certification and Authentication

ERO's EFIN/PIN. Enter your six-digit EFIN followed by your five-digit self-selected PIN. 36063334663

do not enter all zeros

I certify that the above numeric entry is my PIN, which is my signature for the tax year 2020 electronically filed income tax return for the taxpayer indicated above.

ERO's signature ▶ _____ Date ▶ 04/17/2021

ERO Must Retain This Form
Do Not Submit This Form to the Taxing Authority

Form **1120-S**

Department of the Treasury
Internal Revenue Service

U.S. Income Tax Return for an S Corporation

▶ **Do not file this form unless the corporation has filed or is attaching Form 2553 to elect to be an S corporation.**
▶ **Go to www.irs.gov/Form1120S for instructions and the latest information.**

OMB No. 1545-0123

2020

For calendar year 2020 or tax year beginning , ending

A S election effective date 01/01/2008	Name (TYPE OR PRINT) LILY CORPORATION	**D** Employer identification number 36-3188312
B Business activity code number (see instructions) 333100	Number, street, and room or suite no. If a P.O. box, see instructions. 240 S. BROADWAY	**E** Date incorporated 06/22/1982
C Check if Sch. M-3 attached	City or town, state or province, country, and ZIP or foreign postal code AURORA, IL 60505	**F** Total assets (see instructions) $ 1,916,434.

G Is the corporation electing to be an S corporation beginning with this tax year? Yes [X] No If "Yes," attach Form 2553 if not already filed

H Check if: **(1)** [ ] Final return **(2)** [ ] Name change **(3)** Address change **(4)** [ ] Amended return **(5)** S election termination or revocation

I Enter the number of shareholders who were shareholders during any part of the tax year ▶ 2

J Check if corporation: **(1)** [ ] Aggregated activities for section 465 at-risk purposes **(2)** Grouped activities for section 469 passive activity purposes

Caution: Include **only** trade or business income and expenses on lines 1a through 21. See the instructions for more information.

Income	1a	Gross receipts or sales 1,979,389. b Return and allowances c Bal. Subtract line 1b from line 1a	1c	1,979,389.
	2	Cost of goods sold (attach Form 1125-A)	2	990,405.
	3	Gross profit. Subtract line 2 from line 1c	3	988,984.
	4	Net gain (loss) from Form 4797, line 17 (attach Form 4797)	4	
	5	Other income (loss) (attach statement)	5	
	6	**Total income (loss).** Add lines 3 through 5 ▶	6	988,984.
Deductions (See instructions for limitations)	7	Compensation of officers (see instrs. - attach Form 1125-E)	7	220,493.
	8	Salaries and wages (less employment credits)	8	172,728.
	9	Repairs and maintenance	9	68.
	10	Bad debts	10	77.
	11	Rents	11	
	12	Taxes and licenses STATEMENT 1	12	63,688.
	13	Interest (see instructions)	13	
	14	Depreciation not claimed on Form 1125-A or elsewhere on return (attach Form 4562)	14	6,348.
	15	Depletion **(Do not deduct oil and gas depletion.)**	15	
	16	Advertising	16	855.
	17	Pension, profit-sharing, etc., plans	17	5,847.
	18	Employee benefit programs	18	81,801.
	19	Other deductions (attach statement) STATEMENT 2	19	94,610.
	20	**Total deductions.** Add lines 7 through 19 ▶	20	646,515.
	21	**Ordinary business income (loss).** Subtract line 20 from line 6	21	342,469.
Tax and Payments	22a	Excess net passive income or LIFO recapture tax (see instructions) 22a		
	b	Tax from Schedule D (Form 1120-S) 22b		
	c	Add lines 22a and 22b	22c	
	23a	2020 estimated tax payments and 2019 overpayment credited to 2020 23a		
	b	Tax deposited with Form 7004 23b		
	c	Credit for federal tax paid on fuels (attach Form 4136) 23c		
	d	Reserved for future use 23d		
	e	Add lines 23a through 23d	23e	
	24	Estimated tax penalty (see instructions). Check if Form 2220 is attached ▶	24	
	25	**Amount owed.** If line 23e is smaller than the total of lines 22c and 24, enter amount owed	25	
	26	**Overpayment.** If line 23e is larger than the total of lines 22c and 24, enter amount overpaid	26	
	27	Enter amount from line 26: **Credited to 2021 estimated tax** ▶ **Refunded** ▶	27	

Sign Here

Under penalties of perjury, I declare that I have examined this return, including accompanying schedules and statements, and to the best of my knowledge and belief, it is true, correct, and complete. Declaration of preparer (other than taxpayer) is based on all information of which preparer has any knowledge.

▶ Signature of officer | Date | ▶ PRESIDENT Title

May the IRS discuss this return with the preparer shown below? See instr. [X] Yes No

Paid Preparer Use Only

Print/Type preparer's name DIONE STOLARSKI	Preparer's signature	Date 04/17/21	Check if self-employed	PTIN P00234010
Firm's name ▶ DIGIOVINE HNILO JORDAN & JOHNSON			Firm's EIN ▶ 36-3029663	
Firm's address ▶ 184 SHUMAN BLVD. STE. 200 NAPERVILLE, IL 60563			Phone no. 630-420-1360	

Form **7004**
(Rev. December 2018)
Department of the Treasury
Internal Revenue Service

Application for Automatic Extension of Time To File Certain Business Income Tax, Information, and Other Returns

▶ **File a separate application for each return.**
▶ **Go to www.irs.gov/Form7004 for instructions and the latest information.**

OMB No. 1545-0233

Print or Type

Name: LILY CORPORATION

Identifying number: 36-3188312

Number, street, and room or suite no. (If P.O. box, see instructions.): 240 S. BROADWAY

City, town, state, and ZIP code (If a foreign address, enter city, province or state, and country (follow the country's practice for entering postal code).): AURORA, IL 60505

Note: File request for extension by the due date of the return. See instructions before completing this form.

Part I Automatic Extension for Certain Business Income Tax, Information, and Other Returns. See instructions.

1 Enter the form code for the return listed below that this application is for 25

Application Is For:	Form Code	Application Is For:	Form Code
Form 706-GS(D)	01	Form 1120-ND (section 4951 taxes)	20
Form 706-GS(T)	02	Form 1120-PC	21
Form 1041 (bankruptcy estate only)	03	Form 1120-POL	22
Form 1041 (estate other than a bankruptcy estate)	04	Form 1120-REIT	23
Form 1041 (trust)	05	Form 1120-RIC	24
Form 1041-N	06	Form 1120S	25
Form 1041-QFT	07	Form 1120-SF	26
Form 1042	08	Form 3520-A	27
Form 1065	09	Form 8612	28
Form 1066	11	Form 8613	29
Form 1120	12	Form 8725	30
Form 1120-C	34	Form 8804	31
Form 1120-F	15	Form 8831	32
Form 1120-FSC	16	Form 8876	33
Form 1120-H	17	Form 8924	35
Form 1120-L	18	Form 8928	36
Form 1120-ND	19		

Part II All Filers Must Complete This Part

2 If the organization is a foreign corporation that does not have an office or place of business in the United States, check here ..... ▶

3 If the organization is a corporation and is the common parent of a group that intends to file a consolidated return, check here ..... ▶
If checked, attach a statement listing the name, address, and employer identification number (EIN) for each member covered by this application.

4 If the organization is a corporation or partnership that qualifies under Regulations section 1.6081-5, check here ..... ▶

5a The application is for calendar year 2020, or tax year beginning _____, and ending _____

b Short tax year. If this tax year is less than 12 months, check the reason: Initial return ☐ Final return
Change in accounting period Consolidated return to be filed Other (See instructions - attach explanation.)

6	Tentative total tax	**6**	0.
7	**Total** payments and credits. See instructions	**7**	0.
8	**Balance due.** Subtract line 7 from line 6. See instructions	**8**	0.

Schedule B Other Information (see instructions)

		Yes	No
1	Check accounting method: a ☐ Cash b ☒ Accrual c Other (specify) ▶		
2	See the instructions and enter the: a Business activity ▶ MANUFACTURING b Product or service ▶ EPOXY INJECTION EQP		
3	At any time during the tax year, was any shareholder of the corporation a disregarded entity, a trust, an estate, or a nominee or similar person? If "Yes," attach Schedule B-1, Information on Certain Shareholders of an S Corporation		X
4	At the end of the tax year, did the corporation:		
a	Own directly 20% or more, or own, directly or indirectly, 50% or more of the total stock issued and outstanding of any foreign or domestic corporation? For rules of constructive ownership, see instructions. If "Yes," complete (i) through (v) below		X

(i) Name of Corporation	(ii) Employer Identification Number (if any)	(iii) Country of Incorporation	(iv) Percentage of Stock Owned	(v) If Percentage in (iv) is 100%, Enter the Date (if any) a Qualified Subchapter S Subsidiary Election Was Made

b	Own directly an interest of 20% or more, or own, directly or indirectly, an interest of 50% or more in the profit, loss, or capital in any foreign or domestic partnership (including an entity treated as a partnership) or in the beneficial interest of a trust? For rules of constructive ownership, see instructions. If "Yes," complete (i) through (v) below			X	

(i) Name of Entity	(ii) Employer Identification Number (if any)	(iii) Type of Entity	(iv) Country of Organization	(v) Maximum Percentage Owned in Profit, Loss, or Capital

5a	At the end of the tax year, did the corporation have any outstanding shares of restricted stock? If "Yes," complete lines (i) and (ii) below.			X
	(i) Total shares of restricted stock ▶			
	(ii) Total shares of non-restricted stock ▶			
b	At the end of the tax year, did the corporation have any outstanding stock options, warrants, or similar instruments? If "Yes," complete lines (i) and (ii) below.			X
	(i) Total shares of stock outstanding at the end of the tax year ▶			
	(ii) Total shares of stock outstanding if all instruments were executed ▶			
6	Has this corporation filed, or is it required to file, **Form 8918,** Material Advisor Disclosure Statement, to provide info. on any reportable transaction?			X
7	Check this box if the corporation issued publicly offered debt instruments with original issue discount ▶ If checked, the corporation may have to file **Form 8281,** Information Return for Publicly Offered Original Issue Discount Instruments.			
8	If the corporation **(a)** was a C corporation before it elected to be an S corporation **or** the corporation acquired an asset with a basis determined by reference to the basis of the asset (or the basis of any other property) in the hands of a C corporation, **and (b)** has net unrealized built-in gain in excess of the net recognized built-in gain from prior years, enter the net unrealized built-in gain reduced by net recognized built-in gain from prior years ▶ $			
9	Did the corporation have an election under section 163(j) for any real property trade or business or any farming business in effect during the tax year? See instructions			X
10	Does the corporation satisfy one or more of the following? See instructions			X
a	The corporation owns a pass-through entity with current, or prior year carryover, excess business interest expense.			
b	The corporation's aggregate average annual gross receipts (determined under section 448(c)) for the 3 tax years preceding the current tax year are more than $26 million and the corporation has business interest expense.			
c	The corporation is a tax shelter and the corporation has business interest expense. If "Yes," complete and attach Form 8990.			
11	Does the corporation satisfy **both** of the following conditions?			X
a	The corporation's total receipts (see instructions) for the tax year were less than $250,000.			
b	The corporation's total assets at the end of the tax year were less than $250,000. If "Yes," the corporation is not required to complete Schedules L and M-1.			

Schedule B Other Information (see instructions) *(continued)*

		Yes	No
12	During the tax year, did the corporation have any non-shareholder debt that was canceled, was forgiven, or had the terms modified so as to reduce the principal amount of the debt?		X
	If "Yes," enter the amount of principal reduction ▶ $		
13	During the tax year, was a qualified subchapter S subsidiary election terminated or revoked? If "Yes," see instructions		X
14a	Did the corporation make any payments in 2020 that would require it to file Form(s) 1099?	X	
b	If "Yes," did the corporation file or will it file required Form(s) 1099?	X	
15	Is the corporation attaching Form 8996 to certify as a Qualified Opportunity Fund?		X
	If "Yes," enter the amount from Form 8996 , line 15 ▶ $		

Schedule K Shareholders' Pro Rata Share Items

				Total amount
Income (Loss)	1	Ordinary business income (loss) (page 1, line 21)	1	342,469.
	2	Net rental real estate income (loss) (attach Form 8825)	2	
	3a	Other gross rental income (loss)	3a	
	b	Expenses from other rental activities (attach statement)	3b	
	c	Other net rental income (loss). Subtract line 3b from line 3a	3c	
	4	Interest income	4	
	5	Dividends: a Ordinary dividends	5a	
		b Qualified dividends	5b	
	6	Royalties	6	
	7	Net short-term capital gain (loss) (attach Schedule D (Form 1120-S))	7	
	8a	Net long-term capital gain (loss) (attach Schedule D (Form 1120-S))	8a	
	b	Collectibles (28%) gain (loss)	8b	
	c	Unrecaptured section 1250 gain (attach statement)	8c	
	9	Net section 1231 gain (loss) (attach Form 4797)	9	
	10	Other income (loss) (see instructions) Type ▶	10	
Deductions	11	Section 179 deduction (attach Form 4562)	11	
	12a	Charitable contributions	12a	
	b	Investment interest expense	12b	
	c	Section 59(e)(2) expenditures Type ▶	12c	
	d	Other deductions (see instructions) Type ▶	12d	
Credits	13a	Low-income housing credit (section 42(j)(5))	13a	
	b	Low-income housing credit (other)	13b	
	c	Qualified rehabilitation expenditures (rental real estate) (attach Form 3468, if applicable)	13c	
	d	Other rental real estate credits (see instructions) Type ▶	13d	
	e	Other rental credits (see instructions) Type ▶	13e	
	f	Biofuel producer credit (attach Form 6478)	13f	
	g	Other credits (see instructions) Type ▶	13g	
Foreign Transactions	14a	Name of country or U.S. possession ▶		
	b	Gross income from all sources	14b	
	c	Gross income sourced at shareholder level	14c	
		Foreign gross income sourced at corporate level		
	d	Reserved for future use	14d	
	e	Foreign branch category	14e	
	f	Passive category	14f	
	g	General category	14g	
	h	Other (attach statement)	14h	
		Deductions allocated and apportioned at shareholder level		
	i	Interest expense	14i	
	j	Other	14j	
		Deductions allocated and apportioned at corporate level to foreign source income		
	k	Reserved for future use	14k	
	l	Foreign branch category	14l	
	m	Passive category	14m	
	n	General category	14n	
	o	Other (attach statement)	14o	
		Other information		
	p	Total foreign taxes (check one): ☐ Paid Accrued ▶	14p	
	q	Reduction in taxes available for credit (attach statement)	14q	
	r	Other foreign tax information (attach statement)		

Schedule K Shareholders' Pro Rata Share Items *(continued)*

			Total amount
Alternative Minimum Tax (AMT) Items	15a Post-1986 depreciation adjustment	15a	
	b Adjusted gain or loss	15b	
	c Depletion (other than oil and gas)	15c	
	d Oil, gas, and geothermal properties - gross income	15d	
	e Oil, gas, and geothermal properties - deductions	15e	
	f Other AMT items (attach statement)	15f	
Items Affecting Shareholder Basis	16a Tax-exempt interest income	16a	
	b Other tax-exempt income	16b	
	c Nondeductible expenses STATEMENT 7	16c	476.
	d Distributions (attach statement if required) STATEMENT 8	16d	245,425.
	e Repayment of loans from shareholders	16e	
Other Information	17a Investment income	17a	
	b Investment expenses	17b	
	c Dividend distributions paid from accumulated earnings and profits	17c	
	d Other items and amounts (att. stmt.) STATEMENT 3		
Reconciliation	18 **Income (loss) reconciliation.** Combine the amounts on lines 1 through 10 in the far right column. From the result, subtract the sum of the amounts on lines 11 through 12d and 14p	18	342,469.

Schedule L Balance Sheets per Books

Assets	Beginning of tax year (a)	Beginning of tax year (b)	End of tax year (c)	End of tax year (d)
1 Cash		444,024.		588,119.
2a Trade notes and accounts receivable	221,025.		253,920.	
b Less allowance for bad debts	( )	221,025.	( )	253,920.
3 Inventories		866,031.		907,732.
4 U.S. government obligations				
5 Tax-exempt securities				
6 Other current assets (att. stmt.)	STATEMENT 4	4,575.		7,610.
7 Loans to shareholders				
8 Mortgage and real estate loans				
9 Other investments (att. stmt.)				
10a Buildings and other depreciable assets	1,194,150.		1,194,150.	
b Less accumulated depreciation	(1,044,654.)	149,496.	(1,051,002.)	143,148.
11a Depletable assets				
b Less accumulated depletion	( )		( )	
12 Land (net of any amortization)		12,800.		12,800.
13a Intangible assets (amortizable only)	15,549.		15,549.	
b Less accumulated amortization	(11,407.)	4,142.	(12,444.)	3,105.
14 Other assets (att. stmt.)				
15 Total assets		1,702,093.		1,916,434.
Liabilities and Shareholders' Equity				
16 Accounts payable		23,430.		37,167.
17 Mortgages, notes, bonds payable in less than 1 year		9,998.		9,999.
18 Other current liabilities (att. stmt.)	STATEMENT 5	34,233.		138,268.
19 Loans from shareholders				
20 Mortgages, notes, bonds payable in 1 year or more				
21 Other liabilities (att. stmt.)				
22 Capital stock		1,000.		1,000.
23 Additional paid-in capital		4,000.		4,000.
24 Retained earnings	STATEMENT 6	1,778,357.		1,874,925.
25 Adjustments to shareholders' equity (att. stmt.)				
26 Less cost of treasury stock		(148,925.)		(148,925.)
27 Total liabilities and shareholders' equity		1,702,093.		1,916,434.

Schedule M-1 Reconciliation of Income (Loss) per Books With Income (Loss) per Return

Note: The corporation may be required to file Schedule M-3. See instructions.

1 Net income (loss) per books	341,993.	5 Income recorded on books this year not included on Schedule K, lines 1 through 10 (itemize): a Tax-exempt interest $	
2 Income included on Schedule K, lines 1, 2, 3c, 4, 5a, 6, 7, 8a, 9, and 10, not recorded on books this year (itemize):			
3 Expenses recorded on books this year not included on Schedule K, lines 1 through 12 and 14p (itemize): a Depreciation $ b Travel and entertainment $ 476.	476.	6 Deductions included on Schedule K, lines 1 through 12 and 14p, not charged against book income this year (itemize): a Depreciation $	
		7 Add lines 5 and 6	
4 Add lines 1 through 3	342,469.	8 Income (loss) (Schedule K, line 18). Subtract line 7 from line 4	342,469.

Schedule M-2 Analysis of Accumulated Adjustments Account, Shareholders' Undistributed Taxable Income Previously Taxed, Accumulated Earnings and Profits, and Other Adjustments Account (see instrs.)

	(a) Accumulated adjustments account	(b) Shareholders' undistributed taxable income previously taxed	(c) Accumulated earnings and profits	(d) Other adjustments account
1 Balance at beginning of tax year	959,222.			
2 Ordinary income from page 1, line 21	342,469.			
3 Other additions				
4 Loss from page 1, line 21	( )			
5 Other reductions STATEMENT 9	(476.)			( )
6 Combine lines 1 through 5	1,301,215.			
7 Distributions	245,425.			
8 Balance at end of tax year. Subtract line 7 from line 6	1,055,790.			

Form **1125-A**

(Rev. November 2018)

Department of the Treasury
Internal Revenue Service

Cost of Goods Sold

▶ **Attach to Form 1120, 1120-C, 1120-F, 1120S, or 1065.**

▶ **Go to www.irs.gov/Form1125A for the latest information.**

OMB No. 1545-0123

Name

LILY CORPORATION

Employer Identification number

36-3188312

1	Inventory at beginning of year	1	866,031.
2	Purchases	2	680,663.
3	Cost of labor	3	209,685.
4	Additional section 263A costs (attach schedule)	4	
5	Other costs (attach schedule) SEE STATEMENT 10	5	141,758.
6	**Total.** Add lines 1 through 5	6	1,898,137.
7	Inventory at end of year	7	907,732.
8	**Cost of goods sold.** Subtract line 7 from line 6. Enter here and on Form 1120, page 1, line 2 or the appropriate line of your tax return. See instructions	8	990,405.

9 a Check all methods used for valuing closing inventory:

(i) [X] Cost

(ii) Lower of cost or market

(iii) Other (Specify method used and attach explanation) ▶

b Check if there was a writedown of subnormal goods ▶

c Check if the LIFO inventory method was adopted this tax year for any goods (if checked, attach Form 970) ▶

d If the LIFO inventory method was used for this tax year, enter amount of closing inventory computed under LIFO — 9d

e If property is produced or acquired for resale, do the rules of Section 263A apply to the entity? See instructions — Yes [X] No

f Was there any change in determining quantities, cost, or valuations between opening and closing inventory? If "Yes," attach explanation. — Yes [X] No

Form **1125-E**

(Rev. October 2016)

Department of the Treasury
Internal Revenue Service

Compensation of Officers

▶ **Attach to Form 1120, 1120-C, 1120-F, 1120-REIT, 1120-RIC, or 1120S.**

▶ **Information about Form 1125-E and its separate instructions is at www.irs.gov/form1125e.**

OMB No. 1545-0123

Name

LILY CORPORATION

Employer Identification number

36-3188312

Note: Complete Form 1125-E only if total receipts are $500,000 or more. See instructions for definition of total receipts.

(a) Name of officer	(b) Social security number	(c) Percent of time devoted to business	Percent of stock owned		(f) Amount of compensation
			(d) Common	(e) Preferred	
1 LILY TROUT	332-32-8069	100%	96.20%		63,036.
MICHAEL TROUT	336-54-3691	100%	3.80%		3,554.
ROBERT H. TROUT	348-56-4437	100%			153,903.

2 Total compensation of officers	2	220,493.
3 Compensation of officers claimed on Form 1125-A or elsewhere on return	3	
4 Subtract line 3 from line 2. Enter the result here and on Form 1120, page 1, line 12 or the appropriate line of your tax return	4	220,493.

For Paperwork Reduction Act Notice, see separate instructions.

Form **1125-E** (Rev. 10-2016)

Form **4562**

Department of the Treasury
Internal Revenue Service (99)

Depreciation and Amortization
(Including Information on Listed Property) OTHER

▶ Attach to your tax return.

▶ Go to www.irs.gov/Form4562 for instructions and the latest information.

OMB No. 1545-0172

2020

Attachment Sequence No. **179**

Name(s) shown on return	Business or activity to which this form relates	Identifying number
LILY CORPORATION	OTHER DEPRECIATION	36-3188312

Part I **Election To Expense Certain Property Under Section 179** **Note:** If you have any listed property, complete Part V before you complete Part I.

1	Maximum amount (see instructions)	1	
2	Total cost of section 179 property placed in service (see instructions)	2	
3	Threshold cost of section 179 property before reduction in limitation	3	
4	Reduction in limitation. Subtract line 3 from line 2. If zero or less, enter -0-	4	
5	Dollar limitation for tax year. Subtract line 4 from line 1. If zero or less, enter -0-. If married filing separately, see instructions	5	

6	(a) Description of property	(b) Cost (business use only)	(c) Elected cost

7	Listed property. Enter the amount from line 29	7	
8	Total elected cost of section 179 property. Add amounts in column (c), lines 6 and 7	8	
9	Tentative deduction. Enter the **smaller** of line 5 or line 8	9	
10	Carryover of disallowed deduction from line 13 of your 2019 Form 4562	10	
11	Business income limitation. Enter the smaller of business income (not less than zero) or line 5	11	
12	Section 179 expense deduction. Add lines 9 and 10, but don't enter more than line 11	12	
13	Carryover of disallowed deduction to 2021. Add lines 9 and 10, less line 12 ▶	13	

Note: Don't use Part II or Part III below for listed property. Instead, use Part V.

Part II **Special Depreciation Allowance and Other Depreciation (Don't** include listed property.**)**

14	Special depreciation allowance for qualified property (other than listed property) placed in service during the tax year	14	
15	Property subject to section 168(f)(1) election	15	
16	Other depreciation (including ACRS)	16	3,082.

Part III **MACRS Depreciation (Don't** include listed property. See instructions.)

Section A

17	MACRS deductions for assets placed in service in tax years beginning before 2020	17	2,813.
18	If you are electing to group any assets placed in service during the tax year into one or more general asset accounts, check here ▶		

Section B - Assets Placed in Service During 2020 Tax Year Using the General Depreciation System

	(a) Classification of property	(b) Month and year placed in service	(c) Basis for depreciation (business/investment use only - see instructions)	(d) Recovery period	(e) Convention	(f) Method	(g) Depreciation deduction
19a	3-year property						
b	5-year property						
c	7-year property						
d	10-year property						
e	15-year property						
f	20-year property						
g	25-year property			25 yrs.		S/L	
h	Residential rental property	/		27.5 yrs.	MM	S/L	
		/		27.5 yrs.	MM	S/L	
i	Nonresidential real property	/		39 yrs.	MM	S/L	
		/			MM	S/L	

Section C - Assets Placed in Service During 2020 Tax Year Using the Alternative Depreciation System

20a	Class life					S/L	
b	12-year			12 yrs.		S/L	
c	30-year	/		30 yrs.	MM	S/L	
d	40-year	/		40 yrs.	MM	S/L	

Part IV **Summary** (See instructions.)

21	Listed property. Enter amount from line 28	21	453.
22	**Total.** Add amounts from line 12, lines 14 through 17, lines 19 and 20 in column (g), and line 21. Enter here and on the appropriate lines of your return. Partnerships and S corporations - see instr.	22	6,348.
23	For assets shown above and placed in service during the current year, enter the portion of the basis attributable to section 263A costs	23	

Part V **Listed Property** (Include automobiles, certain other vehicles, certain aircraft, and property used for entertainment, recreation, or amusement.)

Note: For any vehicle for which you are using the standard mileage rate or deducting lease expense, complete **only** 24a, 24b, columns (a) through (c) of Section A, all of Section B, and Section C if applicable.

Section A - Depreciation and Other Information (Caution: See the instructions for limits for passenger automobiles. **)**

24a Do you have evidence to support the business/investment use claimed? [X] **Yes** **No** **24b** If "Yes," is the evidence written? [X] **Yes** **No**

(a) Type of property (list vehicles first)	(b) Date placed in service	(c) Business/ investment use percentage	(d) Cost or other basis	(e) Basis for depreciation (business/investment use only)	(f) Recovery period	(g) Method/ Convention	(h) Depreciation deduction	(i) Elected section 179 cost
25 Special depreciation allowance for qualified listed property placed in service during the tax year and used more than 50% in a qualified business use						**25**		
26 Property used more than 50% in a qualified business use:								
		%						
SEE STATEMENT 11		%					453.	
		%						
27 Property used 50% or less in a qualified business use:								
		%				S/L -		
		%				S/L -		
		%				S/L -		
28 Add amounts in column (h), lines 25 through 27. Enter here and on line 21, page 1						**28**	453.	
29 Add amounts in column (i), line 26. Enter here and on line 7, page 1							**29**	

Section B - Information on Use of Vehicles

Complete this section for vehicles used by a sole proprietor, partner, or other "more than 5% owner," or related person. If you provided vehicles to your employees, first answer the questions in Section C to see if you meet an exception to completing this section for those vehicles.

	(a) Vehicle		(b) Vehicle		(c) Vehicle		(d) Vehicle		(e) Vehicle		(f) Vehicle	
30 Total business/investment miles driven during the year (**don't** include commuting miles)												
31 Total commuting miles driven during the year												
32 Total other personal (noncommuting) miles driven												
33 Total miles driven during the year. Add lines 30 through 32												
34 Was the vehicle available for personal use during off-duty hours?	**Yes**	**No**	**Yes**	**No**	**Yes**	**No**	**Yes**	**No**	**Yes**	**No**	**Yes**	**No**
35 Was the vehicle used primarily by a more than 5% owner or related person?												
36 Is another vehicle available for personal use?												

Section C - Questions for Employers Who Provide Vehicles for Use by Their Employees

Answer these questions to determine if you meet an exception to completing Section B for vehicles used by employees who **aren't** more than 5% owners or related persons.

	Yes	**No**
37 Do you maintain a written policy statement that prohibits all personal use of vehicles, including commuting, by your employees?		
38 Do you maintain a written policy statement that prohibits personal use of vehicles, except commuting, by your employees? See the instructions for vehicles used by corporate officers, directors, or 1% or more owners		
39 Do you treat all use of vehicles by employees as personal use?		
40 Do you provide more than five vehicles to your employees, obtain information from your employees about the use of the vehicles, and retain the information received?		
41 Do you meet the requirements concerning qualified automobile demonstration use?		

Note: If your answer to 37, 38, 39, 40, or 41 is "Yes," don't complete Section B for the covered vehicles.

Part VI **Amortization**

(a) Description of costs	(b) Date amortization begins	(c) Amortizable amount	(d) Code section	(e) Amortization period or percentage	(f) Amortization for this year
42 Amortization of costs that begins during your 2020 tax year:					
43 Amortization of costs that began before your 2020 tax year				**43**	1,037.
44 **Total.** Add amounts in column (f). See the instructions for where to report				**44**	1,037.

Qualified Business Income (Section 199A)

SSTB	PTP	Description	EIN	Ordinary Business Income (Loss)	Rental Income (Loss)	Royalty Income (Loss)	Section 1231 Gain (Loss)	Other Income (Loss)	Section 179 Deduction
		TRADE OR BUSINESS		342,469.					
		TOTAL		342,469.					

SSTB	PTP	Description	Other Deductions	W-2 Wages	Unadjusted Basis of Assets	Cooperative		Reserved	Reserved
						Qualified Business Income	W-2 Wages		
		TRADE OR BUSINESS		602,906.	503,857.				
		TOTAL		602,906.	503,857.				

Qualified REIT dividends .....

ALTERNATIVE MINIMUM TAX DEPRECIATION REPORT

Asset No.	Description	Date Acquired	AMT Method	AMT Life	AMT Cost Or Basis	AMT Accumulated	Regular Depreciation	AMT Depreciation	AMT Adjustment
	IMPROVEMENTS LEASEHOLD								
4	IMPROVEMENTS	06 01 89		40.00	123,299.	3,082.	3,082.	3,082.	0.
	NEW ROOF LEASEHOLD								
31	IMPROVEMENTS	11 30 13	SL	39.00	98,200.	5,036.	2,518.	2,518.	0.
	ELECTRICAL WORK LEASEHOLD								
37	IMPROVEMENTS	12 20 19	SL	39.00	11,500.	12.	295.	295.	0.
36	2016 FORD CARGO VAN	11 23 16	SL	5.00	30,325.	1,064.	453.	453.	0.
	TOTALS				263,324.	9,194.	6,348.	6,348.	0.

2020 DEPRECIATION AND AMORTIZATION REPORT

- CURRENT YEAR FEDERAL - LILY CORPORATION

Asset No.	Description	Date Acquired	Method	Life	Line No.	Unadjusted Cost Or Basis	Bus % Excl	* Reduction In Basis	Basis For Depreciation	Accumulated Depreciation	Current Sec 179	Current Year Deduction
3	IMPROVEMENTS LEASEHOLD IMPROVEME	04 01 85	SL	15.00	16	119,509.			119,509.	119,509.		0.
4	IMPROVEMENTS LEASEHOLD IMPROVEME	06 01 89	SL	40.00	16	123,299.			123,299.	68,522.		3,082.
5	OFFICE EQUIPMENT OFFICE EQUIPMENT	04 26 84	PRE	5.00	16	72,899.			72,899.	72,899.		0.
6	OFFICE EQUIPMEMT OFFICE EQUIPMENT	06 15 03	200DB	5.00	17	5,645.			5,645.	5,645.		0.
7	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 04	200DB	5.00	17	1,097.			1,097.	1,097.		0.
8	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 05	200DB	5.00	17	1,360.			1,360.	1,360.		0.
9	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 06	200DB	5.00	17	586.			586.	586.		0.
10	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 15 08	200DB	5.00	17	766.		766.				0.
11	OFFICE EQUIPMENT OFFICE EQUIPMENT	04 26 84	PRE	5.00	16	5,225.		2,613.	2,612.	2,612.		0.
12	EQUIPMENT MACHINERY AND EQUIPMENT	04 26 84	PRE	5.00	16	104,633.			104,633.	104,633.		0.
13	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 03	200DB	5.00	17	278.			278.	278.		0.
14	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 04	200DB	5.00	17	8,129.			8,129.	8,129.		0.
15	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 05	200DB	5.00	17	6,384.			6,384.	6,384.		0.
16	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 06	200DB	5.00	17	500.			500.	500.		0.
17	EQUIPMENT MACHINERY AND EQUIPMENT	06 15 07	200DB	5.00	17	2,151.			2,151.	2,151.		0.
18	MOLDS & DIES MOLDS AND DIES	04 26 84	PRE	5.00	16	251,131.			251,131.	251,131.		0.
20	A-118-2 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	864.		864.				0.
21	CD135 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	17,411.		17,411.				0.

(D) - Asset disposed

* ITC, Section 179, Salvage, Bonus, Commercial Revitalization Deduction

2020 DEPRECIATION AND AMORTIZATION REPORT

- CURRENT YEAR FEDERAL - LILY CORPORATION

Asset No.	Description	Date Acquired	Method	Life	Line No.	Unadjusted Cost Or Basis	Bus % Excl	* Reduction In Basis	Basis For Depreciation	Accumulated Depreciation	Current Sec 179	Current Year Deduction
22	CD15 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	7,616.		7,616.				0.
23	CD250 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	72,750.		72,750.				0.
24	CD75 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	23,198.		23,198.				0.
25	HT15 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	639.		639.				0.
26	TTA RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	554.		554.				0.
27	TTA-5 RENTAL RENTAL EQUIPMENT	01 01 11	200DB	5.00	17	3,257.		3,257.				0.
28	OFFICE EQUIPMENT OFFICE EQUIPMENT	11 02 11	200DB	5.00	17	3,002.		3,002.				0.
29	DRAFTING COMPUTER OFFICE EQUIPMENT	01 21 13	200DB	5.00	17	1,005.		1,005.				0.
30	2 NOTEBOOKS OFFICE EQUIPMENT	08 19 13	200DB	5.00	17	1,450.		1,450.				0.
31	NEW ROOF LEASEHOLD IMPROVEMENTS	11 30 13	SL	39.00	17	98,200.			98,200.	15,423.		2,518.
33	INJECTION MOLDING PRESS MOLDS AND DIE	06 30 15	200DB	5.00	17	35,854.		35,854.				0.
34	2015 RENTALS RENTAL EQUIPMENT	06 30 15	200DB	5.00	17	29,774.		29,774.				0.
35	OFFICE EQUIPMENT OFFICE EQUIPMENT	06 30 15	200DB	5.00	17	5,186.		5,186.				0.
37	ELECTRICAL WORK LEASEHOLD IMPROVEME	12 20 19	SL	39.00	17	11,500.			11,500.	12.		295.
	* OTHER TOTAL OTHER					1015852.		205,939.	809,913.	660,871.		5,895.
	BUILDINGS											
2	BUILDING	04 26 84	SL	18.00	16	110,000.			110,000.	110,000.		0.
	* OTHER TOTAL BUILDINGS					110,000.			110,000.	110,000.		0.

(D) - Asset disposed

* ITC, Section 179, Salvage, Bonus, Commercial Revitalization Deduction

2020 DEPRECIATION AND AMORTIZATION REPORT

- CURRENT YEAR FEDERAL - LILY CORPORATION

Asset No.	Description	Date Acquired	Method	Life	Line No.	Unadjusted Cost Or Basis	Bus % Excl	* Reduction In Basis	Basis For Depreciation	Accumulated Depreciation	Current Sec 179	Current Year Deduction
	TRANSPORTATION EQUIPMENT											
32	2014 HONDA RIDGELINE	07 21 14	200DB	5.00	21	37,973.		31,487.	6,486.	6,486.		0.
36	2016 FORD CARGO VAN	11 23 16	SL	5.00	21	30,325.		27,663.	2,662.	2,209.		453.
	* OTHER TOTAL TRANSPORTATION EQUI					68,298.		59,150.	9,148.	8,695.		453.
	LAND											
1	LAND	04 26 84	L			12,800.			12,800.			0.
	* OTHER TOTAL LAND					12,800.			12,800.	0.		0.
	* GRAND TOTAL OTHER DEPRECIATION					1206950.		265,089.	941,861.	779,566.		6,348.

(D) - Asset disposed

* ITC, Section 179, Salvage, Bonus, Commercial Revitalization Deduction

2020 AMORTIZATION REPORT

- CURRENT YEAR FEDERAL - LILY CORPORATION

Asset No.	Description	Date Acquired	Life	Line No.	Unadjusted Cost Or Basis	Bus % Excl	* Reduction In Basis	Basis For Amortization	Beginning Accumulated Amortization	Current Year Deduction	Ending Accumulated Amortization
19	PATENT EXPENSE PATENTS	01 01 09	180M	43	15,549.			15,549.	11,407.	1,037.	12,444.
	* TOTAL OTHER AMORTIZATION				15,549.			15,549.	11,407.	1,037.	12,444.

(D) - Asset disposed

* ITC, Salvage, Bonus, Commercial Revitalization Deduction

Section 1.263(a)-1(f) De Minimis Safe Harbor Election

Lily Corporation
240 S. Broadway
Aurora, IL 60505

Employer Identification Number: 36-3188312

For the Year Ending December 31, 2020

Lily Corporation is making the de minimis safe harbor election under Reg. Sec. 1.263(a)-1(f).

FORM 1120S	TAXES AND LICENSES	STATEMENT 1

DESCRIPTION	AMOUNT
PAYROLL TAXES	45,690.
REAL ESTATE TAXES	10,157.
SALES TAX	2,626.
ILLINOIS TAXES - BASED ON INCOME	5,215.
TOTAL TO FORM 1120S, PAGE 1, LINE 12	63,688.

FORM 1120S	OTHER DEDUCTIONS	STATEMENT 2

DESCRIPTION	AMOUNT
AMORTIZATION EXPENSE	1,037.
ANNUAL REPORT	105.
BANK CHARGES	1,738.
DUES AND SUBSCRIPTIONS	2,347.
EXHIBITIONS	21,444.
LEGAL AND PROFESSIONAL	6,440.
MEALS	477.
MERCHANT DEPOSIT FEES	23,786.
OFFICE EXPENSE	20,910.
POSTAGE	1,396.
TELEPHONE	8,829.
UTILITIES	6,101.
TOTAL TO FORM 1120S, PAGE 1, LINE 19	94,610.

SCHEDULE K	OTHER ITEMS, LINE 17D	STATEMENT 3

DESCRIPTION	AMOUNT
SECTION 199A - ORDINARY INCOME (LOSS)	342,469.
SECTION 199A - W-2 WAGES	602,906.
SECTION 199A - UNADJUSTED BASIS OF ASSETS	503,857.

SCHEDULE L — OTHER CURRENT ASSETS — STATEMENT 4

DESCRIPTION	BEGINNING OF TAX YEAR	END OF TAX YEAR
PREPAID INSURANCE	4,575.	7,610.
TOTAL TO SCHEDULE L, LINE 6	4,575.	7,610.

SCHEDULE L — OTHER CURRENT LIABILITIES — STATEMENT 5

DESCRIPTION	BEGINNING OF TAX YEAR	END OF TAX YEAR
ACCRUED SALES TAX	2,859.	4,243.
ACCRUED WAGES	3,296.	6,380.
CREDIT CARD PAYABLE	15,293.	14,786.
PPP LOAN		101,797.
RETIREMENT PLAN PAYABLE	5,369.	5,847.
STATE ACCRUED TAXES	7,416.	5,215.
TOTAL TO SCHEDULE L, LINE 18	34,233.	138,268.

SCHEDULE L — ANALYSIS OF TOTAL RETAINED EARNINGS PER BOOKS — STATEMENT 6

DESCRIPTION	AMOUNT
BALANCE AT BEGINNING OF YEAR	1,778,357.
NET INCOME PER BOOKS	341,993.
DISTRIBUTIONS	-245,425.
OTHER INCREASES (DECREASES)	
BALANCE AT END OF YEAR - SCHEDULE L, LINE 24, COLUMN (D)	1,874,925.

SCHEDULE K — NONDEDUCTIBLE EXPENSES — STATEMENT 7

DESCRIPTION	AMOUNT
EXCLUDED MEALS AND ENTERTAINMENT EXPENSES	476.
TOTAL TO SCHEDULE K, LINE 16C	476.

FORM 1120S DISTRIBUTIONS STATEMENT 8

DESCRIPTION	DATE ACQUIRED	DATE DISTRIBUTED	COST	AMOUNT
DISTRIBUTION				245,425.
TOTAL INCLUDED IN FORM 1120S, PAGE 4, LINE 16D				245,425.

SCHEDULE M-2 ACCUMULATED ADJUSTMENTS ACCOUNT- OTHER REDUCTIONS STATEMENT 9

DESCRIPTION	AMOUNT
NONDEDUCTIBLE EXPENSES	476.
TOTAL TO SCHEDULE M-2, LINE 5 - COLUMN (A)	476.

FORM 1125-A OTHER COSTS STATEMENT 10

DESCRIPTION	AMOUNT
AUTO EXPENSE	2,706.
FREIGHT AND DELIVERY	15,985.
INSURANCE	29,168.
RENT	8,400.
REPAIRS AND MAINTENANCE	21,294.
RESEARCH & DEVELOPMENT	25,862.
SHOP SUPPLIES	6,022.
SMALL TOOLS	189.
SUBLET LABOR	2,919.
TRASH REMOVAL	11,466.
TRAVEL	12,564.
UTILITIES	5,183.
TOTAL TO LINE 5	141,758.

FORM 4562, PART V LISTED PROPERTY INFORMATION-MORE THAN 50% STATEMENT 11

(A) DESCRIPTION	(B) DATE	(C) BUS. %	(D) COST	(E) BASIS	(F) LIFE	(G) MTH/CV	(H) DEDUCTION	(I) 179 ELECTED
2014 HONDA RIDGELINE	07/21/14	100.00	37,973.	6,486.	5.00	200DB-HY		
2016 FORD CARGO VAN	11/23/16	100.00	30,325.	2,662.	5.00	SL -MQ	453.	
TOTAL TO FORM 4562, PART V, LINE 26							453.	

(J) AUTO NO	(K) TOTAL MILES	(L) BUSINESS MILES	(M) COMMUTING MILES	(N) PERSONAL MILES	(O) WAS VEH. AVAIL.? Y	(O) N	(P) > 5% OWNER? Y	(P) N	(Q) ANOTHER VEH. AVAILABLE? Y	(Q) N
2014 HONDA RIDGELINE										
2016 FORD CARGO VAN										

671120

Schedule K-1 (Form 1120-S)

Department of the Treasury
Internal Revenue Service

2020

For calendar year 2020, or tax year beginning _____ ending _____

Final K-1 Amended K-1 OMB No. 1545-0123

Shareholder's Share of Income, Deductions, Credits, etc. ▶ See separate instructions.

Part I Information About the Corporation

A Corporation's employer identification number
36-3188312

B Corporation's name, address, city, state, and ZIP code

LILY CORPORATION
240 S. BROADWAY
AURORA, IL 60505

C IRS Center where corporation filed return
E-FILE

Part II Information About the Shareholder

D Shareholder's identifying number
332-32-8069

E Shareholder's name, address, city, state, and ZIP code

LILY TROUT
480 DELNOR GLEN DRIVE
ST. CHARLES, IL 60174

F Current year allocation percentage ... 96.202532%

G Shareholder's number of shares
Beginning of tax year 1,443.00
End of tax year 1,443.00

H Loans from shareholder
Beginning of tax year ..... $ _____
End of tax year ..... $ _____

For IRS Use Only

Part III Shareholder's Share of Current Year Income, Deductions, Credits, and Other Items

1	Ordinary business income (loss) 329,464.	13	Credits
2	Net rental real estate inc (loss)		
3	Other net rental income (loss)		
4	Interest income		
5a	Ordinary dividends		
5b	Qualified dividends	14	Foreign transactions
6	Royalties		
7	Net short-term capital gain (loss)		
8a	Net long-term capital gain (loss)		
8b	Collectibles (28%) gain (loss)		
8c	Unrecaptured sec 1250 gain		
9	Net section 1231 gain (loss)		
10	Other income (loss)	15	Alternative min tax (AMT) items
11	Section 179 deduction	16 C*	Items affecting shareholder basis 458.
12	Other deductions	D*	236,105.
		17 V *	Other information STMT
		AC*	STMT

18 More than one activity for at-risk purposes*
19 More than one activity for passive activity purposes*

*See attached statement for additional information.

SCHEDULE K-1 NONDEDUCTIBLE EXPENSES, BOX 16, CODE C

DESCRIPTION	AMOUNT	SHAREHOLDER FILING INSTRUCTIONS
EXCLUDED MEALS AND ENTERTAINMENT EXPENSES	458.	SEE SHAREHOLDERS INSTRUCTIONS
TOTAL	458.	

SCHEDULE K-1 DISTRIBUTIONS BOX 16, CODE D

DESCRIPTION	DATE	AMOUNT	FILING INSTRUCTIONS
DISTRIBUTION		236,105.	
TOTAL		236,105.	

SCH K-1

THE SECTION 199A AMOUNTS TO BE USED IN THE CALCULATION OF THE QUALIFIED BUSINESS INCOME DEDUCTION ON YOUR 1040/1041 RETURN ARE REPORTED ON LINE 17, UNDER CODE V. PLEASE CONSULT YOUR TAX ADVISOR REGARDING THE CALCULATION OF QUALIFIED BUSINESS INCOME DEDUCTION, INCLUDING THE POSSIBLE AGGREGATIONS AND LIMITATIONS THAT MAY APPLY AND THE FILING OF THE 1.199A-4(C)(2)(I) ANNUAL DISCLOSURE STATEMENT.

SCHEDULE K-1 SECTION 199A ITEMS, BOX 17
CODE V

DESCRIPTION	AMOUNT
TRADE OR BUSINESS	
ORDINARY INCOME(LOSS)	329,464.
W-2 WAGES	580,011.
UNADJUSTED BASIS	484,723.

SCHEDULE K-1 GROSS RECEIPTS FOR SECTION 448(C), BOX 17, CODE AC

DESCRIPTION	AMOUNT
GROSS RECEIPTS - CURRENT YEAR	1,904,222.

Shareholder Basis Worksheet

Shareholder Number: 1	Year Ended: DECEMBER 31, 2020
Shareholder Name:	S Corporation Name:
LILY TROUT	LILY CORPORATION
Shareholder ID Number: 332-32-8069	S Corporation ID Number:
Ownership Percentage: 96.202532 %	36-3188312

Stock Basis

1. a. Stock basis, beginning of year (Not less than zero)	1,247,569.		
b. Additional capital contributions		1,247,569.	
2. Increases:			
a. Ordinary income from trade or business	329,464.		
b. Net income from rental real estate activities			
c. Net income from other rental activities			
d. Net short-term capital gains			
e. Net long-term capital gains			
f. Other portfolio income			
g. Net gain under Section 1231			
h. Other income			
i. Tax exempt interest income			
j. Other tax-exempt income			
k. Section 179 recapture			
l. Depletion (other than oil and gas) in excess of basis			
m. Other increases:			
3. Total increases (Add lines 2(a) through 2(m))		329,464.	
4. Total increases to stock basis (Add lines 1 and 3)			1,577,033.
5. Less: Distributions			236,105.
6. Subtract line 5 from line 4 (Not less than zero)			1,340,928.
7. Decreases:			
a. Ordinary losses from trade or business			
b. Net losses from rental real estate activities			
c. Net losses from other rental activities			
d. Net short-term capital losses			
e. Net long-term capital losses			
f. Other portfolio losses			
g. Net losses under Section 1231			
h. Other deductions			
i. Charitable contributions			
j. Section 179 expense deduction			
k. Deductions related to portfolio income (losses)			
l. Interest expense on investment debts			
m. Foreign taxes paid or accrued			
n. Section 59(e) expenditures			
o. Nondeductible expenses	458.		
p. Oil and gas depletion			
q. Other decreases:			
		458.	
r. Disallowed prior year's losses and deductions			
8. Total decreases (Add lines 7(a) through 7(r))			458.
9. Net increases or decreases to basis (Subtract line 8 from line 6)			1,340,470.
10. Less: Net increases applied to debt basis			
11. Stock basis, end of year (Subtract line 10 from line 9) (Not less than zero)			1,340,470.

Shareholder Basis Worksheet, Continued

Shareholder Number: 1
Shareholder Name: LILY TROUT

Year Ended: DECEMBER 31, 2020
Shareholder ID Number: 332-32-8069

Debt Basis

12.	Debt basis, beginning of year (Not less than zero)		0.
13.	Loans made during the year		
14.	Restoration of debt basis (from line 10)		
15.	Subtotal (Add lines 13 and 14)		
16.	Less: Loan repayments		
17.	Gain from loan repayments		
18.	Other adjustments:		
19.	Subtotal (Combine lines 12, 15, 16, 17 and 18)		
20.	Applied against excess loss and deductions		
21.	Debt basis, end of year (Not less than zero)		0.
22.	Total shareholder stock and debt basis, end of year (Add lines 11 and 21) (Not less than zero)		1,340,470.

Gain on Distributions

23.	Distributions	236,105.
24.	Less: Basis before distributions	1,577,033.
25.	Enter excess of line 23 over line 24 (capital gain)	

Carryover

		Total Disallowed Losses	Debt Basis Applied Against Excess Losses and Deductions
26.	Beginning of year		
27.	Add: Losses and deductions this year	458.	
28.	Less: Applied this year	458.	
29.	Less: Excess nondeductible expenses		
30.	End of year (Not less than zero)	0.	

671120

Schedule K-1 (Form 1120-S)

Department of the Treasury
Internal Revenue Service

2020

For calendar year 2020, or tax year beginning _____ ending _____

Final K-1 Amended K-1 OMB No. 1545-0123

Shareholder's Share of Income, Deductions, Credits, etc. ▶ See separate instructions.

Part I Information About the Corporation

A Corporation's employer identification number
36-3188312

B Corporation's name, address, city, state, and ZIP code

LILY CORPORATION
240 S. BROADWAY
AURORA, IL 60505

C IRS Center where corporation filed return
E-FILE

Part II Information About the Shareholder

D Shareholder's identifying number
336-54-3691

E Shareholder's name, address, city, state, and ZIP code

MICHAEL TROUT
2901 APPLLING WOOD PLACE
PLANT CITY, FL 33565

F Current year allocation percentage ... 3.797468 %

G Shareholder's number of shares
Beginning of tax year 57.00
End of tax year 57.00

H Loans from shareholder
Beginning of tax year ..... $
End of tax year ..... $

For IRS Use Only

Part III Shareholder's Share of Current Year Income, Deductions, Credits, and Other Items

1	Ordinary business income (loss) 13,005.	13	Credits
2	Net rental real estate inc (loss)		
3	Other net rental income (loss)		
4	Interest income		
5a	Ordinary dividends		
5b	Qualified dividends	14	Foreign transactions
6	Royalties		
7	Net short-term capital gain (loss)		
8a	Net long-term capital gain (loss)		
8b	Collectibles (28%) gain (loss)		
8c	Unrecaptured sec 1250 gain		
9	Net section 1231 gain (loss)		
10	Other income (loss)	15	Alternative min tax (AMT) items
11	Section 179 deduction	16 C*	Items affecting shareholder basis 18.
12	Other deductions	D*	9,320.
		17 V *	Other information STMT
		AC*	STMT

18 More than one activity for at-risk purposes*
19 More than one activity for passive activity purposes*

*See attached statement for additional information.

SCHEDULE K-1 NONDEDUCTIBLE EXPENSES, BOX 16, CODE C

DESCRIPTION	AMOUNT	SHAREHOLDER FILING INSTRUCTIONS
EXCLUDED MEALS AND ENTERTAINMENT EXPENSES	18.	SEE SHAREHOLDERS INSTRUCTIONS
TOTAL	18.	

SCHEDULE K-1 DISTRIBUTIONS BOX 16, CODE D

DESCRIPTION	DATE	AMOUNT	FILING INSTRUCTIONS
DISTRIBUTION		9,320.	
TOTAL		9,320.	

SCH K-1

THE SECTION 199A AMOUNTS TO BE USED IN THE CALCULATION OF THE QUALIFIED BUSINESS INCOME DEDUCTION ON YOUR 1040/1041 RETURN ARE REPORTED ON LINE 17, UNDER CODE V. PLEASE CONSULT YOUR TAX ADVISOR REGARDING THE CALCULATION OF QUALIFIED BUSINESS INCOME DEDUCTION, INCLUDING THE POSSIBLE AGGREGATIONS AND LIMITATIONS THAT MAY APPLY AND THE FILING OF THE 1.199A-4(C)(2)(I) ANNUAL DISCLOSURE STATEMENT.

SCHEDULE K-1 SECTION 199A ITEMS, BOX 17
CODE V

DESCRIPTION	AMOUNT
TRADE OR BUSINESS	
ORDINARY INCOME(LOSS)	13,005.
W-2 WAGES	22,895.
UNADJUSTED BASIS	19,134.

SCHEDULE K-1 GROSS RECEIPTS FOR SECTION 448(C), BOX 17, CODE AC

DESCRIPTION	AMOUNT
GROSS RECEIPTS - CURRENT YEAR	75,167.

Shareholder Basis Worksheet

Shareholder Number: 2	Year Ended: DECEMBER 31, 2020
Shareholder Name: MICHAEL TROUT	S Corporation Name: LILY CORPORATION
Shareholder ID Number: 336-54-3691	S Corporation ID Number: 36-3188312
Ownership Percentage: 3.797468 %	

Stock Basis

1. a. Stock basis, beginning of year (Not less than zero)	36,426.		
b. Additional capital contributions		36,426.	
2. Increases:			
a. Ordinary income from trade or business	13,005.		
b. Net income from rental real estate activities			
c. Net income from other rental activities			
d. Net short-term capital gains			
e. Net long-term capital gains			
f. Other portfolio income			
g. Net gain under Section 1231			
h. Other income			
i. Tax exempt interest income			
j. Other tax-exempt income			
k. Section 179 recapture			
l. Depletion (other than oil and gas) in excess of basis			
m. Other increases:			
3. Total increases (Add lines 2(a) through 2(m))		13,005.	
4. Total increases to stock basis (Add lines 1 and 3)			49,431.
5. Less: Distributions			9,320.
6. Subtract line 5 from line 4 (Not less than zero)			40,111.
7. Decreases:			
a. Ordinary losses from trade or business			
b. Net losses from rental real estate activities			
c. Net losses from other rental activities			
d. Net short-term capital losses			
e. Net long-term capital losses			
f. Other portfolio losses			
g. Net losses under Section 1231			
h. Other deductions			
i. Charitable contributions			
j. Section 179 expense deduction			
k. Deductions related to portfolio income (losses)			
l. Interest expense on investment debts			
m. Foreign taxes paid or accrued			
n. Section 59(e) expenditures			
o. Nondeductible expenses	18.		
p. Oil and gas depletion			
q. Other decreases:			
		18.	
r. Disallowed prior year's losses and deductions			
8. Total decreases (Add lines 7(a) through 7(r))			18.
9. Net increases or decreases to basis (Subtract line 8 from line 6)			40,093.
10. Less: Net increases applied to debt basis			
11. Stock basis, end of year (Subtract line 10 from line 9) (Not less than zero)			40,093.

Shareholder Basis Worksheet, Continued

Shareholder Number: 2
Shareholder Name: MICHAEL TROUT

Year Ended: DECEMBER 31, 2020
Shareholder ID Number: 336-54-3691

Debt Basis

12.	Debt basis, beginning of year (Not less than zero)		0.
13.	Loans made during the year		
14.	Restoration of debt basis (from line 10)		
15.	Subtotal (Add lines 13 and 14)		
16.	Less: Loan repayments		
17.	Gain from loan repayments		
18.	Other adjustments:		
19.	Subtotal (Combine lines 12, 15, 16, 17 and 18)		
20.	Applied against excess loss and deductions		
21.	Debt basis, end of year (Not less than zero)		0.
22.	Total shareholder stock and debt basis, end of year (Add lines 11 and 21) (Not less than zero)		40,093.

Gain on Distributions

23.	Distributions	9,320.
24.	Less: Basis before distributions	49,431.
25.	Enter excess of line 23 over line 24 (capital gain)	

Carryover

		Total Disallowed Losses	Debt Basis Applied Against Excess Losses and Deductions
26.	Beginning of year		
27.	Add: Losses and deductions this year	18.	
28.	Less: Applied this year	18.	
29.	Less: Excess nondeductible expenses		
30.	End of year (Not less than zero)	0.	

2020 TAX RETURN FILING INSTRUCTIONS

ILLINOIS FORM IL-1120-ST

FOR THE YEAR ENDING

December 31, 2020

Prepared For:

Lily Corporation
240 S. Broadway
Aurora, IL 60505

Prepared By:

Digiovine Hnilo Jordan & Johnson
184 Shuman Blvd. Ste. 200
Naperville, IL 60563

To be Signed and dated by:

The appropriate corporate officer(s).

Amount of Tax:

Total tax	$	5,869
Less: payments and credits	$	6,100
Plus: other amount	$	0
Plus: interest and penalties	$	0
Overpayment	$	231

Overpayment:

Credit to your estimated tax	$	231
Other amount	$	0
Refunded to you	$	0

Make Check Payable To:

Not applicable

Mail Tax Return To:

This return has qualified for electronic filing. After you have reviewed your return for accuracy, please sign, date and return Form 8879-SO to our office. We will then transmit your return to the IDOR. Do not mail the paper copy.

Return Must Be Mailed On or Before:

Return Form 8879-SO to us by October 15, 2021.

Special Instructions:

Illinois Department of Revenue

2020 Form IL-1120-ST

Small Business Corporation Replacement Tax Return

Due on or before the 15th day of the 3rd month following the close of the tax year.

If this return is not for calendar year 2020, enter your fiscal tax year here.
Tax year beginning _____ (month day year) , ending _____ (month day year)

WARNING This form is for tax years ending on or after December 31, 2020, and before December 31, 2021. For all other situations, see instructions to determine the correct form to use.

Enter the amount you are paying.

$ _____

Step 1: Identify your small business corporation

A Enter your complete legal business name.
If you have a name change, check this box. ☐
Name: LILY CORPORATION

B Enter your mailing address.
Check this box if either of the following apply: ☐
- this is your **first return,** or
- you have an **address change.**

C/O: _____

Mailing address: 240 S. BROADWAY
City: AURORA State: IL ZIP: 60505

C If this is the first or final return, check the applicable box(es).
☐ First return
☐ Final return (Enter the date of termination. _____ (mm dd yyyy))

D If this is a final return because you sold this business, enter the date sold (mm dd yyyy) _____ , and the new owner's FEIN.

_____

E **Apportionment Formulas.** Check the appropriate box or boxes and see the Apportionment Formula instructions.
☐ Financial organizations ☐ Transportation companies
☐ Federally regulated exchanges ☐ Sales companies

F Check this box if you attached Form IL-4562. ☐
G Check this box if you attached Illinois Schedule M (for businesses). ☐
H Check this box if you attached Schedule 80/20. ☐
I Check this box if you attached Schedule 1299-A. ☐
J Check this box if you attached the Subgroup Schedule. ☐
K Check this box if you are a 52/53 week filer. ☐

L Enter your federal employer identification number (FEIN).
36-3188312

M ☐ Check this box if you are a member of a unitary business group, and enter the FEIN of the member who prepared the Schedule UB, Combined Apportionment for Unitary Business Group. **Attach** Schedule UB to this return.

_____

N Enter your North American Industry Classification System (NAICS) Code. See instructions.
333100

O Enter your Illinois corporate file (charter) number issued by the Secretary of State.
5277 0467

P Enter the city, state, and ZIP code where your accounting records are kept. (Use the two-letter postal abbreviation, *e.g.,* IL, GA, etc.)
AURORA IL 60505
City State ZIP

Q If you are making the business income election to treat all nonbusiness income as business income, check this box and enter zero on Lines 36 and 44. ☐

R If you have completed the following, check the box and **attach** the federal form(s) to this return.
☐ Federal Form 8886 ☐ Federal Sch. M-3, Part II, Line 10

S If you are making a discharge of indebtedness adjustment on Form IL-1120-ST, Line 48, check this box and **attach** federal Form 982 and a detailed statement. ☐

T Check this box if your business activity is protected under Public Law 86-272. ☐

Step 2: Figure your ordinary income or loss

(Whole dollars only)

1	Ordinary income or loss, or equivalent from federal Schedule K.	1	342,469 .00
2	Net income or loss from all rental real estate activities.	2	.00
3	Net income or loss from other rental activities.	3	.00
▼ 4	Portfolio income or loss.	4	.00
5	Net IRC Section 1231 gain or loss.	5	.00
6	All other items of income or loss that were not included in the computation of income or loss on Page 1 of U.S. Form 1120-S. See instructions. Identify: _____	6	.00
7	Add Lines 1 through 6. This is your ordinary income or loss.	7	342,469 .00

Step 3: Figure your unmodified base income or loss

8	Charitable contributions.	8	.00
9	Expense deduction under IRC Section 179.	9	.00
10	Interest on investment indebtedness.	10	.00
11	All other items of expense that were not deducted in the computation of ordinary income or loss on Page 1 of U.S. Form 1120-S. See instructions. Identify: _____	11	.00
12	Add Lines 8 through 11.	12	.00
▲ 13	Subtract Line 12 from Line 7. This amount is your total unmodified base income or loss.	13	342,469 .00

Attach your payment and Form IL-1120-ST-V here.

Step 4: Figure your income or loss

14	Enter the amount from Line 13. **Unitary filers,** enter the amount from Schedule UB, Step 2, Col E, Line 30.	14	342,469 .00
15	State, municipal, and other interest income excluded from Line 14.	15	.00
16	Illinois replacement tax and surcharge deducted in arriving at Line 14.	16	5,215 .00
17	Illinois Special Depreciation addition. **Attach** Form IL-4562.	17	.00
18	Related-Party Expenses addition. **Attach** Schedule 80/20.	18	.00
19	Distributive share of additions. **Attach** Schedule(s) K-1-P or K-1-T.	19	.00
20	The amount of loss distributable to a shareholder subject to replacement tax. **Attach** Schedule B.	20	.00
21	Other additions. **Attach** Illinois Schedule M (for businesses).	21	.00
22	Add Lines 14 through 21. This amount is your income or loss.	22	347,684 .00

Step 5: Figure your base income or loss

23	Interest income from U.S. Treasury or other exempt federal obligations.	23	.00		
24	Share of income distributable to a shareholder subject to replacement tax. **Attach** Schedule B.	24	.00		
25	River Edge Redevelopment Zone Dividend subtraction. **Attach** Schedule 1299-A.	25	.00		
26	River Edge Redevelopment Zone Interest subtraction. **Attach** Schedule 1299-A.	26	.00		
27	High Impact Business Dividend subtraction. **Attach** Sch. 1299-A.	27	.00		
28	High Impact Business Interest subtraction. **Attach** Sch. 1299-A.	28	.00		
29	Contribution subtraction. **Attach** Schedule 1299-A.	29	.00		
30	Illinois Special Depreciation subtraction. **Attach** Form IL-4562.	30	.00		
31	Related-Party Expenses subtraction. **Attach** Schedule 80/20.	31	.00		
32	Distributive share of subtractions. **Attach** Sch(s) K-1-P or K-1-T.	32	.00		
33	Other subtractions. **Attach** Schedule M (for businesses).	33	.00		
34	Total subtractions. Add Lines 23 through 33.			34	.00
35	**Base income or loss.** Subtract Line 34 from Line 22.			35	347,684 .00

STOP

A **If the amount on Line 35 is derived inside Illinois only, check this box and enter the amount from Step 5, Line 35 on Step 7, Line 47. You may not complete Step 6. (You must leave Step 6, Lines 36 through 46 blank.)** [X]

Note ➡ **If you are a unitary filer, do not check this box. Check the box on Line B and complete Step 6.**

B **If any portion of the amount on Line 35 is derived outside Illinois, or you are a unitary filer, check this box and complete all lines of Step 6. (Do not leave Lines 40 through 42 blank.) See instructions.** [ ]

Step 6: Figure your income allocable to Illinois (Complete only if you checked the box on Line B, above.)

36	Nonbusiness income or loss. **Attach** Schedule NB.			36	.00
37	Business income or loss included in Line 35 from non-unitary partnerships, partnerships included on a Schedule UB, S corporations, trusts, or estates. See instructions.			37	.00
38	Add Lines 36 and 37.			38	.00
39	Business income or loss. Subtract Line 38 from Line 35.			39	.00
40	Total sales everywhere. This amount cannot be negative.	40			
41	Total sales inside Illinois. This amount cannot be negative.	41			
42	Apportionment factor. Divide Line 41 by Line 40. Round to six decimal places.	42			
43	Business income or loss apportionable to Illinois. Multiply Line 39 by Line 42.			43	.00
44	Nonbusiness income or loss allocable to Illinois. **Attach** Schedule NB.			44	.00
45	Business income or loss apportionable to Illinois from non-unitary partnerships, partnerships included on a Schedule UB, S corporations, trusts, or estates. See instructions.			45	.00
46	**Base income or loss allocable to Illinois.** Add Lines 43 through 45.			46	.00

Illinois Department of Revenue

IL-1120-ST-V

Payment Voucher for Small Business Corporation Replacement Tax

2020

COPY

049221 09-21-20

Illinois Department of Revenue

2020 IL-1120-ST-V

IL-1120-ST-V (R-12/19) **ID:2BX**

Payment Voucher for Small Business Corporation Replacement Tax

Official use only

Mail to: Illinois Department of Revenue, P.O. Box 19053, Springfield, IL 62794-9053

STOP **If no payment is due or you make your payment electronically, do not file this form.**

FEIN 36-3188312 000 5

Tax year ending

12 Month

20 Year

LILY CORPORATION
240 S. BROADWAY
AURORA IL 60505

$ 6,100.00

Payment Amount (Whole dollars only)

Write your FEIN, tax year ending, and "IL-1120-ST-V" on your check or money order and make it payable to "Illinois Department of Revenue."

Preparer's phone number 630-420-1360

112071220 3 363188312 000 5 00000610000

Step 7: Figure your net income

47	Base income or net loss from Step 5, Line 35, or Step 6, Line 46.	47	347,684 .00
48	Discharge of indebtedness adjustment. **Attach** federal Form 982. See instructions.	48	0 .00
49	Adjusted base income or net loss. Add Lines 47 and 48.	49	347,684 .00
50	Illinois net loss deduction. If Line 49 is zero or a negative amount, enter zero.	50	0 .00
	Check this box and attach a detailed statement if you have merged losses. ☐		
51	**Net income.** Subtract Line 50 from Line 49.	51	347,684 .00

Step 8: Figure your net replacement tax, surcharge, and pass-through withholding you owe

52	Replacement tax. Multiply Line 51 by 1.5% (.015).	52	5,215 .00
53	Recapture of investment credits. **Attach** Schedule 4255.	53	.00
54	Replacement tax before investment credits. Add Lines 52 and 53.	54	5,215 .00
55	Investment credits. **Attach** Form IL-477.	55	.00
56	**Net replacement tax.** Subtract Line 55 from Line 54. If the amount is negative, enter zero.	56	5,215 .00
57	Compassionate Use of Medical Cannabis Program Act surcharge. See instructions.	57	.00
58	Sale of assets by gaming licensee surcharge. See instructions.	58	.00
59	Pass-through withholding you owe on behalf of your members. Enter the amount from Schedule B, Section A, Line 9. See instructions. **Attach** Schedule B.	59	654 .00
60	**Total net replacement tax, surcharges, and pass-through withholding you owe.** Add Lines 56, 57, 58, and 59.	60	5,869 .00

Step 9: Figure your refund or balance due

61	Payments. See instructions.				
	a Credits from previous overpayments.	61a	.00		
	b Total payments made before the date this return is filed.	61b	6,100 .00		
	c Pass-through withholding reported to you on Schedule(s) K-1-P or K-1-T. **Attach** Schedule(s) K-1-P or K-1-T.	61c	.00		
	d Illinois gambling withholding. **Attach** Form(s) W-2G.	61d	.00		
62	Total payments. Add Lines 61a through 61d.			62	6,100 .00
63	Overpayment. If Line 62 is greater than Line 60, subtract Line 60 from Line 62.			63	231 .00
64	Amount to be **credited forward.** See instructions.			64	231 .00
	Check this box and attach a detailed statement if this carryforward is going to a different FEIN. ☐				
65	**Refund.** Subtract Line 64 from Line 63. This is the amount to be refunded.			65	.00
66	**Complete to direct deposit your refund** Routing Number _____ ☐ Checking or ☐ Savings Account Number				
67	**Tax Due.** If Line 60 is greater than Line 62, subtract Line 62 from Line 60. This is the amount you owe.			67	.00

▶ **If you owe tax on Line 67, make an electronic payment at Tax.Illinois.gov. If you must mail your payment, complete a payment voucher, Form IL-1120-ST-V. Write your FEIN, tax year ending, and "IL-1120-ST-V" on your check or money order and make it payable to "Illinois Department of Revenue." Attach your voucher and payment to the first page of this form.**

Special Note → **Enter the amount of your payment on the top of Page 1 in the space provided.**

Step 10: Sign below -

Under penalties of perjury, I state that I have examined this return and, to the best of my knowledge, it is true, correct, and complete.

Sign Here		PRESIDENT	630-892-0860	☒ Check if the Department may discuss this return with the paid preparer shown in this step.
	Signature of authorized officer	Date (mm/dd/yyyy) Title	Phone	

Paid Preparer Use Only	DIONE STOLARSKI		04/17/2021	☐ Check if self-employed	P00234010
	Print/Type paid preparer's name	Paid preparer's signature	Date (mm/dd/yyyy)		Paid Preparer's PTIN
	Firm's name ▶ DIGIOVINE HNILO JORDAN & J		Firm's FEIN ▶	36-3029663	
	Firm's address ▶ 184 SHUMAN BLVD. STE. 200 NAPERV		Firm's phone ▶	630-420-1360	

▶ If a payment is **not** enclosed, mail this return to:
Illinois Department of Revenue
P.O. Box 19032
Springfield, IL 62794-9032

▶ If a payment is enclosed, mail this return to:
Illinois Department of Revenue
P.O. Box 19053
Springfield, IL 62794-9053

Illinois Department of Revenue

2020 Schedule B

Partners' or Shareholders' Information

Attach to your Form IL-1065 or Form IL-1120-ST.

Year ending 12 (Month) 20 (Year)

IL Attachment No. 1

LILY CORPORATION

Enter your name as shown on your Form IL-1065 or Form IL-1120-ST.

36-3188312

Enter your federal employer identification number (FEIN).

STOP **Read this information first**

- You must read the Schedule B instructions and complete Schedule(s) K-1-P and Schedule(s) K-1-P(3) before completing this schedule.
- You must complete Section B of Schedule B and provide all the required information for your partners or shareholders before completing Section A of Schedule B.

Note ▶ Failure to follow these instructions may delay the processing of your return or result in you receiving further correspondence from the Department. You may also be required to submit further information to support your filing.

Section A: Total members' information (from Schedule(s) K-1-P and Schedule B, Section B)

STOP Before completing this section you must first complete Schedule(s) K-1-P, Schedule(s) K-1-P(3) and Schedule B, Section B. You will use the amounts from those schedules when completing this section.

Totals for resident and nonresident partners or shareholders (from Schedule(s) K-1-P and Schedule B, Section B)

1 Enter the total of all nonbusiness income or loss you reported on Schedule(s) K-1-P for your members. See instructions. **1** _____

2 Enter the total of all income and replacement tax credits you reported on Schedule(s) K-1-P for your members. See instructions. **2** _____

3 Add the amounts shown on Schedule B, Section B, Column E for all partners or shareholders on all pages for which you have entered a check mark in Column D. Enter the total here. See instructions. **3** _____

Totals for nonresident partners or shareholders only (from Schedule B, Section B)

4 Enter the total pass-through withholding you reported on all pages of your Schedule B, Section B, Column J for your nonresident individual members. See instructions. **4** 654.00

5 Enter the total pass-through withholding you reported on all pages of your Schedule B, Section B, Column J for your nonresident estate members. See instructions. **5** _____

6 Enter the total pass-through withholding you reported on all pages of your Schedule B, Section B, Column J for your partnership and S corporation members. See instructions. **6** _____

7 Enter the total pass-through withholding you reported on all pages of your Schedule B, Section B, Column J for your nonresident trust members. See instructions. **7** _____

8 Enter the total pass-through withholding you reported on all pages of your Schedule B, Section B, Column J for your C corporation members. See instructions. **8** _____

9 Add Line 4 through Line 8. This is the total pass-through withholding you owe on behalf of all your nonresident partners or shareholders. This amount should match the total amount from Schedule B, Section B, Column J for all nonresident partners or shareholders on all pages. Enter the total here **and** on Form IL-1065 (Form IL-1065-X), Line 60, or Form IL-1120-ST (Form IL-1120-ST-X), Line 59. See instructions. **9** 654.00

This form is authorized as outlined by the Illinois Income Tax Act. Disclosure of this information is REQUIRED. Failure to provide information could result in a penalty.

▶ **Attach all pages of Schedule B, Section B behind this page.**

Illinois Department of Revenue
2020 Schedule B

LILY CORPORATION

Enter your name as shown on your Form IL-1065 or Form IL-1120-ST.

36-3188312

Enter your federal employer identification number (FEIN).

Section B: Members' information (See instructions before completing.)

	A Name and Address	B Partner or Shareholder type	C SSN or FEIN	D Subject to Illinois replacement tax or an ESOP	E Member's distributable amount of base income or loss	F Excluded from pass-through withholding	G Share of Illinois income subject to pass-through withholding	H Pass-through withholding before credits	I Distributable share of credits	J Pass-through withholding amount
							(If Column F is blank, complete Column G through Column J. Otherwise, enter zero in Column G through Column J.)			
1	Name LILY TROUT C/O Addr. 1 480 DELNOR GLEN DRIVE Addr. 2 City ST. CHAR IL 60174 State ZIP	I	332-32-8069	☐	334,481.00	R	0.00	0.00	0.00	0.00
2	Name MICHAEL TROUT C/O Addr. 1 2901 APPLLING WOOD PLA Addr. 2 City PLANT CI FL 33565 State ZIP	I	336-54-3691	☐	13,203.00	_	13,203.00	654.00	0.00	654.00
3	Name C/O Addr. 1 Addr. 2 City State ZIP	_		☐		_				
4	Name C/O Addr. 1 Addr. 2 City State ZIP	_		☐		_				
5	Name C/O Addr. 1 Addr. 2 City State ZIP	_		☐		_				

049312
12-22-20

Note ➔ If you have more members than space provided, attach additional copies of this page as necessary.

ID: 2BX Schedule B (R-12/20)

Printed by the authority of the State of Illinois

Illinois Department of Revenue

Schedule K-1-P

Partner's or Shareholder's Share of Income, Deductions, Credits, and Recapture

To be completed by partnerships filing Form IL-1065 or S corporations filing Form IL-1120-ST.

Partners and Shareholders receiving Schedule K-1-P should attach this to their Illinois tax return.

Year ending 12 (Month) 20 (Year)

IL Attachment No. 12

Step 1: Identify your partnership or S corporation

1 Check your business type ☐ partnership ☒ S corporation

2 LILY CORPORATION
Enter your name as shown on your Form IL-1065 or Form IL-1120-ST.

3 36-3188312
Enter your federal employer identification number (FEIN).

4 Enter the apportionment factor from Form IL-1065 or Form IL-1120-ST, Line 42. Otherwise, enter "1." 1.000000

Step 2: Identify your partner or shareholder

5 LILY TROUT
Name

6 480 DELNOR GLEN DRIVE
Mailing address

ST. CHARLES, IL 60174
City State ZIP

7 332-32-8069
Social Security number or FEIN

8 96.202532
Share (%)

9a Check the appropriate box. See instructions.

☒ individual ☐ corporation ☐ trust
☐ partnership ☐ S corporation ☐ estate

9b To be completed by the recipient on Line 5 only.

I am a: ☐ grantor trust ☐ disregarded entity
and the amounts on this schedule will be reported by:
Name:
SSN or FEIN:

Step 3: Figure your partner's or shareholder's share of your nonbusiness income or loss

		A Member's share (See instructions.)	B Member's share allocable to Illinois
10	Interest		
11	Dividends		
12	Rental income		
13	Patent royalties		
14	Copyright royalties		
15	Other royalty income		
16	Capital gain or loss from real property		
17	Capital gain or loss from tangible personal property		
18	Capital gain or loss from intangible personal property		
19	Other income and expense (Specify)		

Step 4: Figure your partner's or shareholder's share of your business income or loss

		A Member's share from U.S. Schedule K-1, less nonbusiness income	B Member's share apportioned to Illinois
20	Ordinary income or loss from trade or business activity	329,464	329,464
21	Net income or loss from rental real estate activities		
22	Net income or loss from other rental activities		
23	Interest		
24	Dividends		
25	Royalties		
26	Net short-term capital gain or loss		
27	Net long-term capital gain or loss. Total for year.		
28	Unrecaptured Section 1250 gain		
29	Guaranteed payments to partner (U.S. Form 1065 only)		
30	Net Section 1231 gain or loss (other than casualty or theft). Total for year.		
31	Other income and expense (Specify)		

This form is authorized as outlined by the Illinois Income Tax Act. Disclosure of this information is REQUIRED. Failure to provide this information could result in a penalty.

SHAREHOLDER NUMBER 1

Enter identification number from Line 7.
332-32-8069

Step 5: Figure your partner's or shareholder's share of Illinois additions and subtractions

K-1-P Recipient: Before using the information provided in Step 5, you must read Schedule K-1-P(2) to correctly report the amounts listed in Columns A and B.

			A Member's share from Form IL-1065 or IL-1120-ST	B Member's share apportioned or allocated to Illinois
	Additions			
32	Federally tax-exempt interest income	**32**		
33	Illinois replacement tax and surcharge deducted	**33**	5,017	5,017
34	Illinois Special Depreciation addition	**34**		
35	Related-Party Expenses addition	**35**		
36	Distributive share of additions	**36**		
37	Other additions (from Illinois Schedule M for businesses)	**37**		
	Subtractions			
38	**a** Interest from U.S. Treasury obligations (business income)	**38a**		
	b Interest from U.S. Treasury obligations (nonbusiness income)	**38b**		
39	River Edge Redevelopment Zone Dividend subtraction	**39**		
40	High Impact Business Dividend subtraction	**40**		
41	Contribution subtraction (Form IL-1120-ST filers only)	**41**		
42	Interest subtraction - River Edge Redevelopment Zone (Form IL-1120-ST financial organizations only)	**42**		
43	Interest subtraction - High Impact Business within a Foreign Trade Zone (Form IL-1120-ST financial organizations only)	**43**		
44	Illinois Special Depreciation subtraction	**44**		
45	Related-Party Expenses subtraction	**45**		
46	Distributive share of subtractions	**46**		
47	Other subtractions (from Illinois Schedule M for businesses)	**47**		

Step 6: Figure your partner's or shareholder's (except a corporate partner or shareholder) share of your Illinois August 1, 1969, appreciation amounts

			A Member's share from Illinois Schedule F (Form IL-1065 or IL-1120-ST)	B Member's share apportioned or allocated to Illinois
48	Section 1245 and 1250 gain	**48**		
49	Section 1231 gain	**49**		
50	Section 1231 gain less casualty and theft gain. See instructions.	**50**		
51	Capital gain	**51**		

Step 7: Figure your partner's or shareholder's share of your Illinois credits, recapture, pass-through withholding and federal income subject to surcharge

	52 Illinois Income Tax Credits	Credit Code		Member's share from Illinois tax return
a	Film Production Services	5000	**52a**	
b	Enterprise Zone Investment	5080	**52b**	
c	Enterprise Zone Construction Jobs	5120	**52c**	
d	High Impact Business Construction Jobs	5160	**52d**	
e	Affordable Housing Donations	5260	**52e**	
f	EDGE	5300	**52f**	
g	New Construction EDGE	5320	**52g**	
h	Research and Development	5340	**52h**	
i	Wages paid to Ex-Felons	5380	**52i**	
j	Student-Assistance Contribution	5420	**52j**	
k	Angel Investment	5460	**52k**	
l	New Markets Development	5500	**52l**	
m	River Edge Historic Preservation	5540	**52m**	
n	River Edge Construction Jobs	5560	**52n**	
o	Live Theater Production	5580	**52o**	
p	Hospital	5620	**52p**	
q	Invest in Kids	5660	**52q**	
r	Data Center Construction Employment	5820	**52r**	
s	Apprenticeship Education Expense	0160	**52s**	
t	Historic Preservation	1030	**52t**	

			Member's share from Illinois tax return
52u	Other credits _____	**52u**	
v	Replacement Tax Investment Credits See instructions.	**52v**	
53	**Recapture**		
a	Enterprise Zone or River Edge Redevelopment Zone Investment Credit recapture	**53a**	
b	Replacement Tax Investment Credit recapture	**53b**	
c	Angel Investment Credit recapture	**53c**	
54	Pass-through withholding See instructions.	**54**	
55	Federal income attributable to transactions subject to the Compassionate Use of Medical Cannabis Program Act surcharge. See instructions.	**55**	
56	Federal income attributable to the sale or exchange of assets by a gaming licensee surcharge. See instructions.	**56**	

IL SCH K-1-P MEMBER'S SHARE OF DISTRIBUTABLE BASE INCOME OR LOSS

1 ENTER THE SHARE OF INCOME FROM IL-1120-ST LINE 14 FOR THIS MEMBER (SCHEDULE K-1-P COLUMN A LINES 10-27 & 30-31)	$	329,464
2 ENTER THE SHARE OF ADDITIONS DISTRIBUTABLE TO THIS MEMBER FROM IL-1120-ST LINES 15-19 AND LINE 21		5,017
3 ADD LINES 1 AND 2		334,481
4 ENTER THE SHARE OF SUBTRACTIONS DISTRIBUTABLE TO THIS MEMBER FROM IL-1120-ST LINES 23 AND 26-33		0
5 SUBTRACT LINE 4 FROM LINE 3	$	334,481

Illinois Department of Revenue

Schedule K-1-P

Partner's or Shareholder's Share of Income, Deductions, Credits, and Recapture

To be completed by partnerships filing Form IL-1065 or S corporations filing Form IL-1120-ST.

Partners and Shareholders receiving Schedule K-1-P should attach this to their Illinois tax return.

Year ending 12 (Month) 20 (Year)

IL Attachment No. 12

Step 1: Identify your partnership or S corporation

1 Check your business type ☐ partnership ☒ S corporation

2 LILY CORPORATION
Enter your name as shown on your Form IL-1065 or Form IL-1120-ST.

3 36-3188312
Enter your federal employer identification number (FEIN).

4 Enter the apportionment factor from Form IL-1065 or Form IL-1120-ST, Line 42. Otherwise, enter "1." 1.000000

Step 2: Identify your partner or shareholder

5 MICHAEL TROUT
Name

6 2901 APPLLING WOOD PLACE
Mailing address

PLANT CITY, FL 33565
City State ZIP

7 336-54-3691
Social Security number or FEIN

8 3.797468
Share (%)

9a Check the appropriate box. See instructions.

☒ individual ☐ corporation ☐ trust
☐ partnership ☐ S corporation ☐ estate

9b To be completed by the recipient on Line 5 only.

I am a: ☐ grantor trust ☐ disregarded entity
and the amounts on this schedule will be reported by:
Name:
SSN or FEIN:

Step 3: Figure your partner's or shareholder's share of your nonbusiness income or loss

		A Member's share (See instructions.)	B Member's share allocable to Illinois
10	Interest		
11	Dividends		
12	Rental income		
13	Patent royalties		
14	Copyright royalties		
15	Other royalty income		
16	Capital gain or loss from real property		
17	Capital gain or loss from tangible personal property		
18	Capital gain or loss from intangible personal property		
19	Other income and expense (Specify)		

Step 4: Figure your partner's or shareholder's share of your business income or loss

		A Member's share from U.S. Schedule K-1, less nonbusiness income	B Member's share apportioned to Illinois
20	Ordinary income or loss from trade or business activity	13,005	13,005
21	Net income or loss from rental real estate activities		
22	Net income or loss from other rental activities		
23	Interest		
24	Dividends		
25	Royalties		
26	Net short-term capital gain or loss		
27	Net long-term capital gain or loss. Total for year.		
28	Unrecaptured Section 1250 gain		
29	Guaranteed payments to partner (U.S. Form 1065 only)		
30	Net Section 1231 gain or loss (other than casualty or theft). Total for year.		
31	Other income and expense (Specify)		

This form is authorized as outlined by the Illinois Income Tax Act. Disclosure of this information is REQUIRED. Failure to provide this information could result in a penalty.

SHAREHOLDER NUMBER 2

Enter identification number from Line 7.
336-54-3691

Step 5: Figure your partner's or shareholder's share of Illinois additions and subtractions

K-1-P Recipient: Before using the information provided in Step 5, you must read Schedule K-1-P(2) to correctly report the amounts listed in Columns A and B.

			A Member's share from Form IL-1065 or IL-1120-ST	B Member's share apportioned or allocated to Illinois
	Additions			
32	Federally tax-exempt interest income	**32**		
33	Illinois replacement tax and surcharge deducted	**33**	198	198
34	Illinois Special Depreciation addition	**34**		
35	Related-Party Expenses addition	**35**		
36	Distributive share of additions	**36**		
37	Other additions (from Illinois Schedule M for businesses)	**37**		
	Subtractions			
38	**a** Interest from U.S. Treasury obligations (business income)	**38a**		
	b Interest from U.S. Treasury obligations (nonbusiness income)	**38b**		
39	River Edge Redevelopment Zone Dividend subtraction	**39**		
40	High Impact Business Dividend subtraction	**40**		
41	Contribution subtraction (Form IL-1120-ST filers only)	**41**		
42	Interest subtraction - River Edge Redevelopment Zone (Form IL-1120-ST financial organizations only)	**42**		
43	Interest subtraction - High Impact Business within a Foreign Trade Zone (Form IL-1120-ST financial organizations only)	**43**		
44	Illinois Special Depreciation subtraction	**44**		
45	Related-Party Expenses subtraction	**45**		
46	Distributive share of subtractions	**46**		
47	Other subtractions (from Illinois Schedule M for businesses)	**47**		

Step 6: Figure your partner's or shareholder's (except a corporate partner or shareholder) share of your Illinois August 1, 1969, appreciation amounts

			A Member's share from Illinois Schedule F (Form IL-1065 or IL-1120-ST)	B Member's share apportioned or allocated to Illinois
48	Section 1245 and 1250 gain	**48**		
49	Section 1231 gain	**49**		
50	Section 1231 gain less casualty and theft gain. See instructions.	**50**		
51	Capital gain	**51**		

Step 7: Figure your partner's or shareholder's share of your Illinois credits, recapture, pass-through withholding and federal income subject to surcharge

52	**Illinois Income Tax Credits**	Credit Code		Member's share from Illinois tax return
a	Film Production Services	5000	**52a**	
b	Enterprise Zone Investment	5080	**52b**	
c	Enterprise Zone Construction Jobs	5120	**52c**	
d	High Impact Business Construction Jobs	5160	**52d**	
e	Affordable Housing Donations	5260	**52e**	
f	EDGE	5300	**52f**	
g	New Construction EDGE	5320	**52g**	
h	Research and Development	5340	**52h**	
i	Wages paid to Ex-Felons	5380	**52i**	
j	Student-Assistance Contribution	5420	**52j**	
k	Angel Investment	5460	**52k**	
l	New Markets Development	5500	**52l**	
m	River Edge Historic Preservation	5540	**52m**	
n	River Edge Construction Jobs	5560	**52n**	
o	Live Theater Production	5580	**52o**	
p	Hospital	5620	**52p**	
q	Invest in Kids	5660	**52q**	
r	Data Center Construction Employment	5820	**52r**	
s	Apprenticeship Education Expense	0160	**52s**	
t	Historic Preservation	1030	**52t**	

			Member's share from Illinois tax return
52u	Other credits _____	**52u**	
v	Replacement Tax Investment Credits See instructions.	**52v**	
53	**Recapture**		
a	Enterprise Zone or River Edge Redevelopment Zone Investment Credit recapture	**53a**	
b	Replacement Tax Investment Credit recapture	**53b**	
c	Angel Investment Credit recapture	**53c**	
54	Pass-through withholding See instructions.	**54**	654
55	Federal income attributable to transactions subject to the Compassionate Use of Medical Cannabis Program Act surcharge. See instructions.	**55**	
56	Federal income attributable to the sale or exchange of assets by a gaming licensee surcharge. See instructions.	**56**	

IL SCH K-1-P MEMBER'S SHARE OF DISTRIBUTABLE BASE INCOME OR LOSS

1 ENTER THE SHARE OF INCOME FROM IL-1120-ST LINE 14 FOR THIS MEMBER (SCHEDULE K-1-P COLUMN A LINES 10-27 & 30-31)	$	13,005
2 ENTER THE SHARE OF ADDITIONS DISTRIBUTABLE TO THIS MEMBER FROM IL-1120-ST LINES 15-19 AND LINE 21		198
3 ADD LINES 1 AND 2		13,203
4 ENTER THE SHARE OF SUBTRACTIONS DISTRIBUTABLE TO THIS MEMBER FROM IL-1120-ST LINES 23 AND 26-33		0
5 SUBTRACT LINE 4 FROM LINE 3	$	13,203

Illinois Department of Revenue

2020 Schedule K-1-P(3)

Pass-through Withholding Calculation for Nonresident Members

Year ending: 12 (Month) 20 (Year)

To be completed by partnerships filing Form IL-1065 or S corporations filing Form IL-1120-ST.

Read this information first:

- **For tax years ending on or after December 31, 2020, and before December 31, 2021.**
- You **must** complete Schedule K-1-P(3) for each of your nonresident partners or shareholders who **have not** submitted a Form IL-1000-E to you.
- **Do not** complete Schedule K-1-P(3) for any member who is a resident or who has submitted Form IL-1000-E to you.

Note ➔ **Keep this schedule with your income tax records. You must send us this information if we request it.**

Step 1: Identify your partnership or S corporation

1 LILY CORPORATION
Enter your name as shown on your Form IL-1065 or Form IL-1120-ST.

2 36-3188312
Enter your federal employer identification number (FEIN).

Step 2: Identify your nonresident partner or shareholder

3 MICHAEL TROUT
Name

4 336-54-3691
Social Security number or FEIN

5 Check the appropriate box to identify this nonresident partner's or shareholder's organization type.

[X] individual [ ] corporation [ ] trust [ ] partnership [ ] S corporation [ ] estate

Step 3: Figure your nonresident partner's or shareholder's pass-through withholding

Note ➔ If this member is a resident or has submitted Form IL-1000-E to you, do not complete this schedule for this member.

6	Add the amounts from this member's Schedule K-1-P, Step 3, Column B, Lines 12 through 17 and 19 and enter the total here. This is your member's share of nonbusiness income allocable to Illinois before modifications and credits. See instructions before completing.	0
7	Add the amounts from this member's Schedule K-1-P, Step 4, Column B, Lines 20 through 27 and 29 through 31 and enter the total here. This is your member's share of business income allocable to Illinois before modifications and credits. See instructions before completing.	13,005
8	Add Line 6 and Line 7 and enter the result.	13,005
9	Add the amounts from this member's Schedule K-1-P, Column B, Lines 32 through 37 and enter the total here. This is your member's share of additions allocable to Illinois.	198
10	Add Line 8 and Line 9 and enter the result.	13,203
11	Add the amounts from this member's Schedule K-1-P, Column B, Lines 38a through 47 and enter the total here. If this member is an individual, partnership, trust, or estate and received Illinois August 1, 1969, appreciation amounts from you, see instructions. This is your member's share of subtractions allocable to Illinois.	0
12	Subtract Line 11 from Line 10. If negative, enter zero. **This is your member's share of Illinois income subject to pass-through withholding.** See instructions.	13,203

Note ➔ **If this member is a nonresident individual or estate, enter zero on Lines 13 through 15 and go to Line 16.**

13	Replacement tax before credits. If this member is a **partnership, S corporation, or nonresident trust,** multiply Line 12 by 1.5% (.015) and enter the result. **corporation,** multiply Line 12 by 2.5% (.025) and enter the result.	0
14	Enter the amount of Illinois replacement tax investment credits passed to this member and available for use this year.	0
15	Subtract Line 14 from Line 13. If negative, enter zero. **This is your member's share of replacement tax after credits.**	0

Note ➔ **If this member is a nonresident partnership or S corporation, enter zero on Lines 16 through 18 and go to Line 19.**

16	Income Tax before credits. See instructions.	654
17	Enter the amount of Illinois income tax credits passed to this member and available for use this year. See instructions.	0
18	Subtract Line 17 from Line 16. If negative, enter zero. **This is your member's share of income tax after credits.**	654
19	Add Lines 15 and 18 and enter the result. This is your member's total pass-through withholding. **Report this amount on this member's Schedule K-1-P, Step 7, Line 54. You must also report this amount on your Form IL-1065 or Form IL-1120-ST, Schedule B, Section B, Column J, on the line which reports this member's amounts.**	654

➔ **Keep a copy of this schedule for each member with your income tax records. Do not send Schedule K-1-P(3) to your members or submit it to Illinois Department of Revenue unless we specifically request it from you.**

This form is authorized as outlined by the Illinois Income Tax Act. Disclosure of this information is REQUIRED. Failure to provide this information could result in a penalty.